

HARMONY GOLD



Social and Labour Plan 2023 – 2027 (Submission 2)

Target
Operation
FS 30/5/1/2/2/14 MR



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ACRONYMS

ACRONYM	TERM
ABET	Adult Basic Education Training
AET	Adult Education and Training
AI	Adequate Intake
AMDR	Acceptable macronutrient distribution range
ATR	Annual Training Report
BBBEE	Broad-based Black Economic Empowerment
BBSEE	Broad-based Socio-Economic Empowerment
BDCs	Business Development Centres
BEE	Black Economic Empowerment
DMRE	Department of Minerals and Energy
DRI	Dietary Reference Intake
DTI	Department of Trade and Industry
E-AET	Electronic Adult Education Training
EAR	Estimated average requirement
EE	Employment Equity
ESD	Enterprise and Supplier Development
ETD	Education Training and Development
EXCO	Executive Committee
FDDM	Fezile Dabi District Municipality
FET	Further Education and Training
FY	Financial Year
GET	General Education and Training
HARMONY	Harmony Gold Mining Company Ltd and or Company
HDP	Historically Disadvantaged Persons
HDP	Historically disadvantaged South Africans as defined in the Mineral and Petroleum Resources Development Act
HET	Higher Education and Training
HR	Human Resources
HRD	Human Resources Development

ACRONYM	TERM
IDC	Industrial Development Corporation
IDP	Individual/Integrated Development Plan
IEB	Independent Examinations Board
IFC	International Finance Corporation
KPI	Key Performance Indicators
LDM	Lejweleputswa District Municipality
LDP	Leadership Development Programme
LED	Local Economic Development
LRA	Labour Relations Act 66 of 1995
MCD	Mining Community Development
MHSA	Mine Health and Safety Act (Act 29 of 1996)
MLM	Matjhabeng Local Municipality
MoU	Memorandum of Understanding
MPRDA	Mineral and Petroleum Resources Development Act 28 of 2002
MQA	Mining Qualifications Authority
NEDLAC	National Economic Development and Labour Council
NEF	National Empowerment Fund
NQF	National Qualifications Framework
NUM	National Union of Mineworkers
NYDA	National Youth Development Agency
OEMs	Original Equipment Manufacturers
PNG	Papua New Guinea
Pty	Proprietary
RDA	Recommended daily allowance
SADC	South African Development Community
SAQA	South African Qualifications Authority
SDF	Skills Development Facilitator
SDP	Skills Development Plan
SEDA	Small Enterprise Development Agency
SEFA	Small Enterprise Finance Agency

ACRONYM	TERM
SETA	Sectorial Education and Training Authority
SLP	Social and Labour Plan
SMME	Small, Medium and Micro Enterprises
SPLUMA	Spatial Planning and Land Use Management Act (Act 16 of 2013)
TUI	Tolerable upper intake
UIF	Unemployment Insurance Fund
VSP	Voluntary Severance Package
WSP	Workplace Skills Plan

BACKGROUND

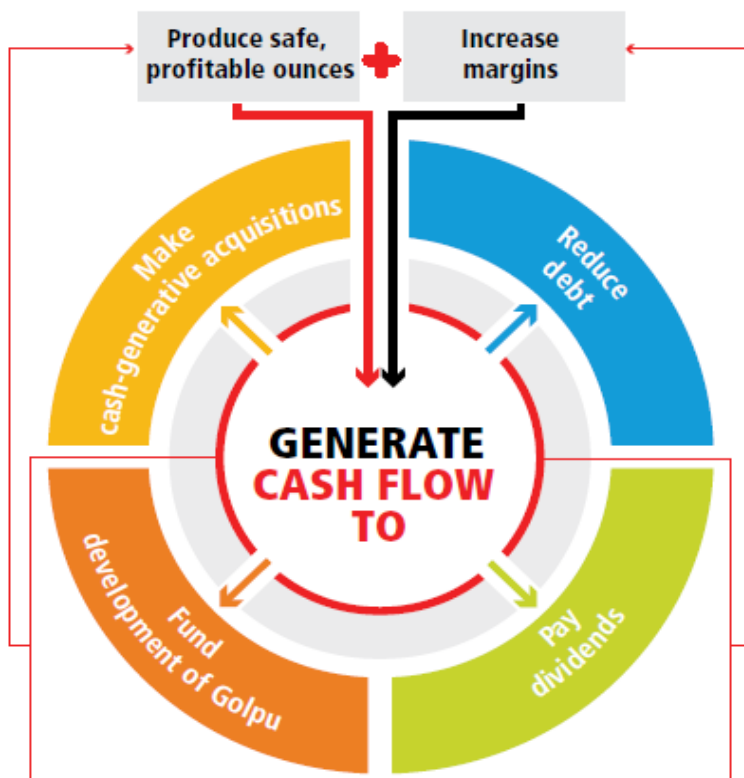
HARMONY GOLD

Harmony Gold Mining Company Limited (Harmony), a gold mining and exploration company, conducts its activities in South Africa, one of the world's best-known gold mining regions, and in Papua New Guinea, one of the world's premier new gold-copper regions. Harmony, which has more than seven decades of experience, was South Africa's third-largest gold producer and the twelfth largest in the world in Financial Year (FY)16. At Harmony, we understand the significant impact our company has on the lives of people, on the communities that surround our mines, on the environment, and on the economic well-being of the countries in which we operate.

Our company delivers long-term benefits to a broad range of stakeholders. We rely on experienced, skilled teams who live our values and play their role in maintaining stakeholder relationships, growing profits and maintaining a sustainable company.

The company is governed by a board of directors which brings together a range of skills and experience and whose members are committed to maintaining the highest levels of corporate governance. In turn, the directors entrust the management of Harmony to skilled management teams which work towards ensuring that the company remains sustainable, improving margins and increasing the value of our assets.

Our Strategy



Our Values

As a company, Harmony understands that long-term value is about more than the commodities we produce and the profits we make. Our worth is also reflected in the impact we have on the lives of people, now and in the future.

Harmony lives its values – safety, being accountable, achievement and being connected and honest. These are the compass points for our actions, ensuring that, in addition to achieving our strategic goals, we seek to make the right decisions and support the members of our teams in doing so. Our values are ingrained in our training initiatives and decision-making processes, ensuring that they are at the front of employees' minds and actions, extending beyond our operations' gates. They guide our interactions with external stakeholders, from shareholders and the media to local communities, including those from which our employees are drawn. Our hope is that through our commitment, we can build a company with which people want to be associated and which will generate shared value in the future.







SECTION 1 OVERVIEW

This section includes information pertaining to, but not limited to, the particulars of the operation, its ownership structure, life of the operation and a breakdown of the employees per labour sending area.



SECTION 1: PREAMBLE

PREAMBLE

This section is in line with Regulation 46 (a) of the Mineral Petroleum Resources Development Act (Act 28 of 2002) (MPRDA). According to the regulations the Preamble must include an overview of the Social and Labour Plan (SLP) and background information on the specific operation.

Harmony, is a world-class gold and copper mining and exploration company that operates in South Africa and Papua New Guinea, one of the world's premier new gold-copper regions. With more than 70 years in the industry, Harmony is an experienced emerging market gold miner and one of the largest gold producers by volume in South Africa.

Harmony has nine underground operations in South Africa. The operations are located as follows: one in the Klerksdorp goldfield, three in the West Rand and five in the Free State. In addition, Harmony has an open pit mine on the Kraaipan Greenstone Belt as well as several surface treatment operations.

In June 2021, the Harmony South African operations accounted for 71% of group Mineral Resources (gold and gold equivalent ounces) and 58% of group Mineral Reserves (Harmony, 2022).

In line with Regulation 46(a): Introduction to and background information to the operation

PARTICULARS OF OPERATION

Name of company	Harmony Gold Mining Company Limited
Name of mine	Target Mine and Plant
Physical address	Aandenk Buffalo Street Allanridge
Postal address	C/O Harmony Gold Mining Company Limited P.O Box 2 Randfontein 1760
Telephone number	(057) 452 4628
Fax number	(057) 451 2416
Commodity	Gold
Financial year	The financial year of the Company runs from July to June of the following year.
Location of mine	Target 1 comprises Target mine, Target north extensions and Oribi Exploration Property situated near the town of Allanridge in the Free State Province of South Africa. This is located 270km southwest of Johannesburg. The mines are situated at approximately latitude 28°00'S and longitude 26°30'E on the northern limit of the Welkom Goldfields. The site is accessed through the R30 situated between the towns of Bothaville and Welkom, and on the farm Aandenk 227.
Mining right number	FS 30/5/1/2/2/14MR
Reporting year	Annual reporting will be done on the calendar year and will be submitted by 31 March of each year
For further information in relation to this document please contact	(057) 452 4429

OWNERSHIP STRUCTURE

In terms of the Mining Charter Broad-based Socio-Economic Empowerment Charter (BBSEE) for the South African Mining and Minerals Industry, mining companies should commit to meaningful participation of Historically Disadvantaged Persons (HDP) entities in the mining industry for attainment of sustainable growth of the mining industry. This will be achieved through the achievement of a minimum target of 26% ownership to enable meaningful economic participation of HDP. The Mining Charter further provides for the continuing consequences of all previous deals to be included in calculating HDP ownership credits in terms of market share as measured by attributable units of production.

HARMONY GOLD

Harmony is committed to economic transformation and empowerment in South Africa. Based on the above provisions of the Mining Charter, Harmony entered into numerous broad-based black economic (BBBEE) transactions; and as at 31 December 2020, the HDP ownership level in Harmony is at 53.73%.

HARMONY GOLD

NO.	PRINCIPLE COMPANY NAME (MINING RIGHT HOLDER)	IDENTIFIABLE BENEFICIARIES (COMMUNITY, ESOPS, BEE ENTREPRENEUR, OTHER BROADBASED GROUPS)	NAME OF BENEFICIARY HISTORICALLY DISADVANTAGED SOUTH AFRICANS (HDP)	REGISTRATION NO	IDENTIFIABLE BENEFICIARIES				
					COMMUNITY	ESOPS	BEE ENTREPRENEUR	OTHER BROADBASED GROUPS I.E. CONSORTIUMS ETC.	TOTAL - CURRENT BEE %
					%	%	%	%	%
1	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	African Rainbow Minerals Limited	1933/004580/06				22,04%	22,04%
2	Harmony Gold Mining Company Limited and its subsidiaries	ESOPS	Tlhakanelo Employee Share Trust	IT738/2012		2,46%			2,46%
3	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	Simane Security Investments (Proprietary) Limited	2000/006452/07				12,95%	12,95%
4	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	Africa Vanguard Resources (Proprietary) Limited	2000/014503/07				1,77%	1,77%
5	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	Open Solutions (Proprietary) Limited / Khumo Bathong Holdings (Proprietary) Limited	1997/022049/07; 1998/007546/07				1,29%	1,29%



HARMONY GOLD

NO.	PRINCIPLE COMPANY NAME (MINING RIGHT HOLDER)	IDENTIFIABLE BENEFICIARIES (COMMUNITY, ESOPS, BEE ENTREPRENEUR, OTHER BROADBASED GROUPS)	NAME OF BENEFICIARY HISTORICALLY DISADVANTAGED SOUTH AFRICANS (HDP)	REGISTRATION NO	IDENTIFIABLE BENEFICIARIES				
					COMMUNITY	ESOPS	BEE ENTREPRENEUR	OTHER BROADBASED GROUPS I.E. CONSORTIUMS ETC.	TOTAL - CURRENT BEE %
					%	%	%	%	%
6	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	Beneficiation through Rand Refinery (Pty) Ltd	1920/006598/06				11,00%	11,00%
7	Harmony Gold Mining Company Limited and its subsidiaries	Community and Other Broad-based Groups	Sikhuliso Resources (Proprietary) Limited ('Sikhuliso') – 16% using Histopath (Proprietary) Limited ("Sikhuliso SPV"); Kopano Resources (Proprietary) Limited (subsidiary of Kopano Ke Matla Investment Company (Pty) Ltd – 3% using Business Venture Investments No 1677 Proprietary Limited; Mazincazelane Investments (Proprietary) Limited – 3% using Business Venture Investments No 1687 Proprietary Limited; Malibongwe Women Development Trust – 3% using Business Venture Investments No	2012/082229/07; 2012/035756/07; 2012/030646/07; 2012/030648/07; IT 248 / 213	0,12%			0,62%	0,75%



HARMONY GOLD

NO.	PRINCIPLE COMPANY NAME (MINING RIGHT HOLDER)	IDENTIFIABLE BENEFICIARIES (COMMUNITY, ESOPS, BEE ENTREPRENEUR, OTHER BROADBASED GROUPS)	NAME OF BENEFICIARY HISTORICALLY DISADVANTAGED SOUTH AFRICANS (HDP)	REGISTRATION NO	IDENTIFIABLE BENEFICIARIES				
					COMMUNITY	ESOPS	BEE ENTREPRENEUR	OTHER BROADBASED GROUPS I.E. CONSORTIUMS ETC.	TOTAL - CURRENT BEE %
					%	%	%	%	%
			1688 Proprietary Limited; The Harmony Gold Community Trust						
8	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	Pan African Resources plc / Shanduka Resources	3937466 / 2002/017835/07				1,47%	1,47%
9	Harmony Gold Mining Company Limited and its subsidiaries	Community	The Harmony Gold Community Trust	IT 248 / 213	1,00%				1,00%
10	Harmony Gold Mining Company Limited and its subsidiaries	ESOPS	The Harmony ESOP Trust	IT 001237 / 2018(G)	1,50%				1,50%
					2,62%	2,46%		51,14%	56,23%



HARMONY GOLD TARGET: LOCATION AND BACKGROUND

Target locality

Harmony's Free State operations comprise five underground mines, after the closure of Unisel and Bambanani, including the mechanised Target 1 mine. These mines are located on the southwestern corner of the Witwatersrand Basin, between the towns of Allanridge, Welkom, Theunissen and Virginia (Figure 1).

Target 1 (including the former Loraine property), the most northerly operation in the Free State (Welkom) goldfield. The area extends from the southern boundary of the mine lease area northwards to the position of the Siberia fault. The resources quoted cover the area from the southern boundary of the mine lease area northwards to the Blast dyke.

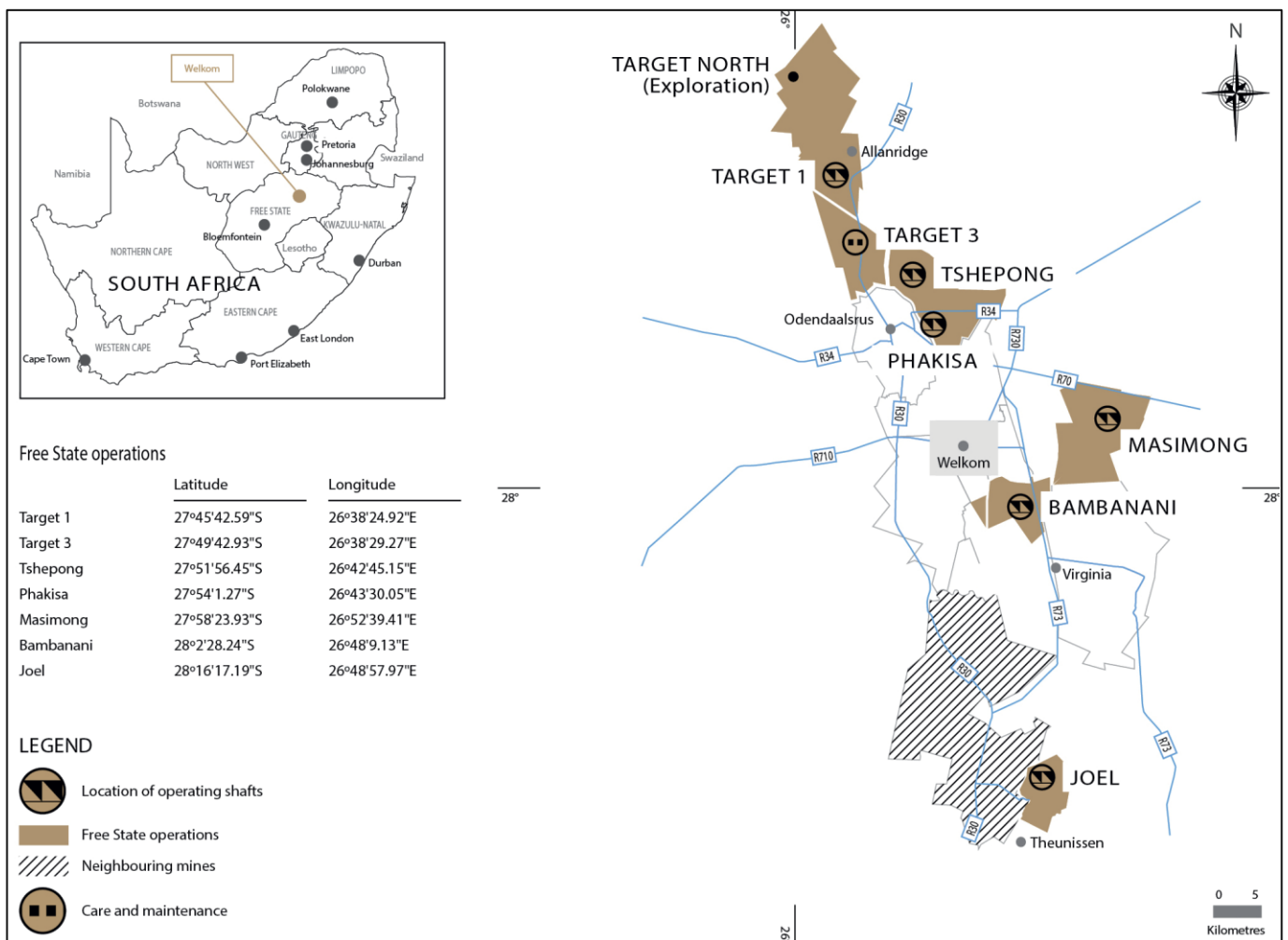


Figure 1: Locality map

Nature of the Operation

Target 1 is an advanced, single-shaft, deep-level mine in the Free State, some 270km south-west of Johannesburg. It has a planned life-of-mine of seven years. Mining operations use both mechanised and conventional stoping techniques. The gold mineralisation currently exploited is contained in a succession of Elsburg and Dreyerskuil quartz pebble conglomerate reefs. These reefs are mined to a depth of

around 2 300m below surface. Ore mined is milled and processed at the Target plant, with gold recovered by means of gold cyanide leaching.

The Target ore body is located some 5km to the north of the original Lorraine No. 1 shaft and is accessed via a 6km long 12 degree decline developed from the 203 Level of the No. 1 shaft vertical shaft system. Initially the decline was developed to provide a drilling platform for the exploration and evaluation of the ore body, but was later used as the main access for all services, logistics, personnel and the extraction of ore.

The ore body is composed of some 60 or more individual conglomerates located in the Uitkyk (Elsburg – EAs) and van der Heeversrust (Dreyerskuil – DKs), members of the upper Eldorado (Elsburgs) Formation. These reefs lend themselves to massive mining techniques where composited conglomerate units can be mined as one stope. These stopes are long-hole drilled and blasted and tonnages are cleaned and transported by trackless machinery, some of this being remotely operated. Massive mining is particularly relevant where the reefs become condensed and steeper in the western portion of the ore body. Massive mining contributes to 80% of total tonnes stoped. Massive stopes have to be mined in a sequence, broadly from down-dip to up-dip. Previously mined stopes are backfilled for support, environmental and safety concerns.

Conventional narrow reef scattered mining makes up the remaining 16% of stope tonnes where individual reefs are extracted in places where massive mining is inappropriate or uneconomic. In addition to mining for gold, some stopes are planned to be mined on the stratigraphically highest gold-bearing units to provide over-stoping for the future massive stopes. Target 1 mine is the most northerly of Harmony's mines in the Free State and is situated some 30km north of the town of Welkom.

LIFE OF MINE BACKGROUND

Both gold production and tonnages milled during the year decreased to 1 603kg (51 536oz) and 488 000 tonnes respectively. This was mainly due to flexibility constraints associated with pillar failures and backfill dilution in two of the stopes which also affected the recovered grade adversely. The decline in production translated into a 7% decrease in revenue to R1 410 million despite the 28% increase in average gold price received to R870 640/kg. Cash operating costs rose 10% to R1 662 million mainly due to annual wage and electricity tariff increases. Capital expenditure rose 6% to R368 million (FY20: R347 million), a result of increased expenditure on the decline and ventilation projects along with ongoing development.

The aim of the current exploration programme is to confirm the geological model, which was created on the completion of the Target North study work. The model defined a potential block of well-mineralised Ventersdorp Contact Reef where it overlies the alluvial fans of the upper Elsburg and Dreyerskuil reefs. Two fans have been interpreted in the Target North area of the Dreyerskuil and Mariasdal fans.

Further resource definition drilling will be planned, pending the results of the current exploration programme. The exploration drilling programme from the surface advanced and a total of 3 744 metres was drilled. At MAL21A borehole, the first long directional deflection targeting the VCR to the west of the original intersection was completed including a set of short grade variability deflections. Deflection drilling continues. Drilling of the second borehole MAL22 commenced in January 2021 and the hole advanced to a depth of 1 547 metres. Drilling continues. Drilling of the remaining two long directional deflections for MAL21A borehole is planned to test the postulated Mariasdal Fan Head. Continue drilling of the second borehole MAL22 as planned. The sedimentological model will be updated once the deflection programme has been completed.

Breakdown of employee per labour sending area (as per March 2022)

Table 1 and Table 2 provide the breakdown of employees from Target's labour sending areas as well as outside contractors respectively.

Table 1: Labour sending areas

LABOUR SENDING AREAS (EXCLUDING BOARD AND TOP MANAGEMENT)		
EMPLOYEES		
Country	Employees	% of Total
South Africa	1319	82.1%
Botswana	1	0.1%
Lesotho	211	13.1%
Mozambique	51	3.2%
South Africa (Foreign National with permanent residency)	14	0.9%
Swaziland	4	0.2%
Zimbabwe	6	0.4%
Total	1606	

Table 2: Outside contractors

OUTSIDE CONTRACTORS		
COUNTRY	EMPLOYEES	% OF TOTAL
South Africa	373	97.9%
Mozambique	6	1.6%
South Africa (Foreign National with permanent residency)	2	0.5%
Total	381	

SUBMISSION OF THE SOCIAL AND LABOUR PLAN

This SLP has been prepared by Harmony Gold Mining Company Ltd (Harmony) Target Operation in accordance with the requirements of the MPRDA.

This SLP is prepared in accordance with Section 2 of the Regulations of the MPRDA and is a prescribed plan for dealing with the social and labour issues for the remaining life of every mining right.

This SLP is valid from January 2023 and will continue for five years until December 2027.

The SLP requires applicants for mining and production rights to develop and implement comprehensive Human Resources Development (HRD) Programmes, Mine Community Development (MCD) Plans, Housing and Living conditions Plans, EE Plans and processes to save jobs and manage downscaling and / or closure. This is aimed at promoting employment and advancement of the social and economic welfare of all South Africans whilst ensuring economic growth and socio-economic development.

The five-year period as stipulated in the current SLP for the operation has expired. For this reason it is important to revise the period in line with the strategic planning for the Operation.

We draw your attention to Section 43 and 44 of the regulations to the MPRDA which reads as follows:

- “43. A Social and Labour Plan lodged with the Regional Manager are valid until a closing certificate has been issued in terms of section 43 of the Act.”
- “44. A Social and Labour Plan may not be amended or varied without the consent of the Minister after the granting of the mining right to which such Social and Labour Plan pertains.”

The starting point for this SLP, which will serve as the first year of the next five year cycle from which the company intends to progress, is the calendar year beginning in January 2021.

NOTE: *Year 1 – 2023 Year 2 – 2024 Year 3 – 2025 Year 4 – 2026 Year 5 – 2027*

The objectives of the SLP are to:

- Promote economic growth
- Promote employment and advance the social and economic welfare of all South Africans
- Contribute towards the socio-economic development of the areas in which we operate
- To utilise and expand the existing skills base for the empowerment of Historically Disadvantaged South Africans and to serve the community

Harmony's SLPs are therefore aimed at extending the life of the mines, improving the skills of all its employees, the transforming of its mines, as well as the normalisation of the company and the socio-economic development of communities around its mines from which Harmony recruits its employees.

For further information
in relation to this
document please
contact:

(057) 452 4429

VISION AND OBJECTIVES FOR THE SLP

Harmony is a responsible global gold producer, committed to sustainable development and creating shared value for all of its stakeholders. This social and labour plan has been developed to incorporate Harmony's vision (Figure 2) and objectives (Figure 3) for the communities with their zone of influence beyond the life of the operation. Through this SLP as well as continuous transparent interaction between Harmony and its stakeholders, the company strives to build lasting relationships and partnerships to ensure that the opportunities it creates are impactful, enhance community and economic development and leave a lasting positive legacy.

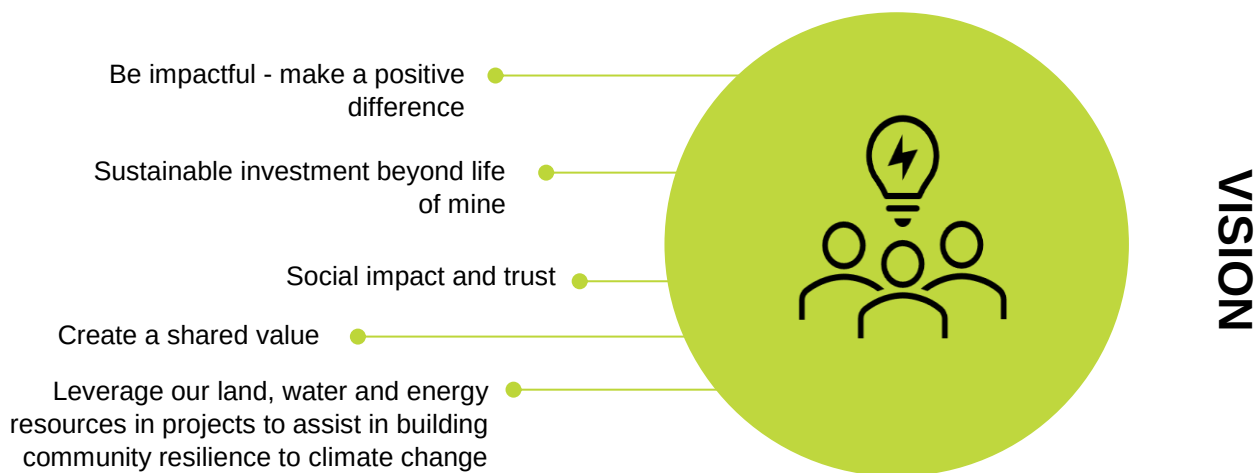


Figure 2: Vision

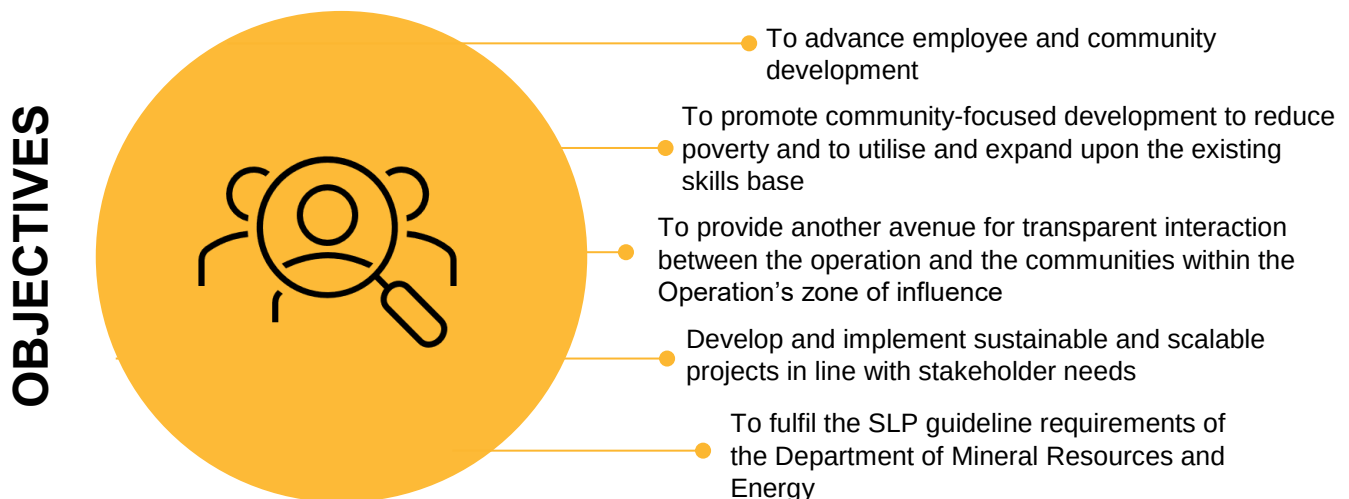


Figure 3: Objectives



SECTION 2 OVERVIEW

The objective of the HRD programmes is to develop the growth of necessary skills for a mining operation in respect of skills development. This section provides an overview of skills development programmes within the context of this SLP.

SECTION 2: SKILLS DEVELOPMENT PROGRAMMES / PLAN

SUMMARY OF WORKFORCE PLAN ALIGNMENT TO BUSINESS PLAN

This section outlines Target's HRD Programmes as required by Section 46 of the Regulations to the MPRDA. Harmony's primary objective for HRD is to foster the development of essential skills. Programmes to support skills development are as follows: Adult Education and Training (AET); Learnership; Portable Skills training; Career Progression; Mentorship and Bursaries and Internship. Equally important is Harmony's focus on advancing employment equity. Harmony's HRD programmes have been set by considering the operations' business needs, plans and strategies. To implement the HRD Programmes, Harmony will utilise accredited providers, where applicable, for their training needs. This will ensure the ongoing facilitation of transferable and accredited skills amongst employees. Moreover, Harmony will comply with the requirements of the Skills Development Act (No 97 of 1998) and will submit Workplace Skills Plans (WSP) and annual training reports to the Mining Qualifications Authority (MQA). Harmony is an accredited training provider registered with the MQA and Quality Council for Trades and Occupations and complies with all applicable regulations pertaining to such accreditation. Progress in the provision of skills development programmes will be reported annually in the Annual Training Report (ATR) which is submitted to the MQA.



In line with Regulation 46(b): Human resources development programme

- *Regulation 46(b)(i): Skills development plan*
- *Regulation 46(b)(ii): A career progression plan and its implementation in line with the skills development plan*
- *Regulation 46(b)(iii): A mentorship plan and its implementation in line with the skills development plan*
- *Regulation 46(b)(iv): An internship and bursary plan and its implementation in line with the skills development plan*
- *Regulation 46(b)(v): The employment equity statistics*

HUMAN RESOURCE DEVELOPMENT PLAN: REGULATION 45 (B) (I), (II), (III), (IV) AND (V)

Introduction and approach

Harmony supports an inclusive talent and human development model where career opportunities are primarily created from within the organisation and external recruitment is only considered if a vacancy cannot be filled from our talent pipeline. The Harmony learning and development function is responsible for the Harmony People Development policy, systems and quality control, however the Operation is capacitated and empowered to implement the policies.

This section of the SLP deals comprehensively with Operation's five-year plan to achieve the optimal development of its human resources through education, training and development (ETD) interventions, as envisaged in the MPRDA, and the Mining Charter, which is monitored by means of the accompanying scorecard.

It also deals with the Skills Development Act in order to ensure the development of skills of the South African workforce to improve the quality of life of workers and their prospects of work as well as to improve productivity in the workplace and the competitiveness of employers and to promote self-employment.

Applicable details of the Sectorial Education and Training Authority (SETA) registration are included in Table 3.

Table 3: Details of the SETA registration

NAME OF SETA	Mining Qualification Authority
REGISTRATION NUMBER WITH THE RELEVANT SETA	04-MQQA/SDP190122-4151
CONFIRMATION OF HAVING APPOINTED A SKILLS DEVELOPMENT FACILITATOR	Yes
PROOF OF SUBMISSION OF WORKPLACE SKILLS PLAN	Workplace Skills Plans are submitted annually
LEVY NUMBER	L650710538

Skills development plan

In compliance with the Skills Development Act, the Operation submits, on an annual basis, the WSP and the ATR to the MQA. The ATR outlines how employees are trained throughout the year in all identified areas of their training needs. The Operation will align its plans with the skills development strategy of Harmony and will ensure a platform for skills development is created.

These reports are developed annually by the designated skills development facilitators (SDFs), in consultation with the HRD committees and the Corporate HRD committees. The HRD committees contribute to ensuring that EE and Gender Equity targets are met through employee development. These employee development plans are aligned with the WSPs.

Operations also pay the skills development levy and claims grants for training provided as per the relevant legislation and regulations.

The objective of the skills development plans within Harmony consists of the following:

- Train employees to achieve full potential within their current positions and promote productivity in the workplace;
- Ensure a competent workforce;
- Ensure employees are sufficiently trained and ready for the next level of their careers;
- Talent identification and management of talented employees;
- Retention of qualified employees; and
- The Operation is fully committed to providing all its employees with the necessary opportunities to participate in training and development.

Recruitment of employees from labour-sending communities outside South Africa

The recruitment of employees from Lesotho, Mozambique, Swaziland and Botswana is per inter-governmental agreements.

The wages, working hours, leave entitlements (including sick and family responsibility leave), provident fund provisions, medical incapacity benefits and other terms and conditions of employment of South African Development Community (SADC) employees are the same as for South African employees. Furthermore, they are entitled to equal compensation for occupational injuries and diseases and are entitled to the same training and development opportunities as South African employees. They are also allowed to join and participate fully in trade union activities, have freedom of movement and enjoy the same labour rights and protections against unfair dismissal.

Harmony, on behalf of this Operation, has further concluded an agreement with recognised trade unions, which provides that SADC employees will be entitled to the same accommodation opportunities as South African employees in respect of living quarters, living-out allowances and married quarters. However, legislative provisions preclude SADC employees from state housing subsidies in South Africa.

It should be noted that the Lesotho and Mozambican inter-governmental agreements provide for approximately 30% of these migrant employees' earnings to be remitted back as compulsory deferred pay to their home countries. These remittances, however, provide a revenue stream for these labour-sending communities, without which rural poverty would be exacerbated.

An additional factor impacting migrant employees is the fact that they are recruited by the way of 'corporate permits' granted in the Immigration Act (Act 13 of 2002). As such, these employees may not be accompanied by their families permanently, although family members who obtain visitor permits are permitted to visit such migrant employees for limited periods.

Such employees are also required to return to their home countries periodically, but may acquire the right to permanent residence in South Africa on application.

Consequently, subject to compliance with South African law and the inter-governmental agreements, the Operation does not, and further undertakes not to discriminate against migrant employees from SADC countries.

Baseline situation (Form Q) (as per March 2022) (Target)

The following tables, Table 4 (Form Q, direct) and Table 5, (Form Q, indirect) depict the education levels of the entire Harmony Target workforce. Table 6 depicts the combined workforce number.

HARMONY GOLD

Table 4: Form Q Direct Employees

FORM Q FOR EMPLOYEES											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE					
			African	Coloured	Indian	White	African	Coloured	Indian	White	Male	Female
General Education and Training (GET)	Below Level 1	No Schooling / unspecified	31	0	0	0	10	0	0	0	31	10
		Grade 0 / Pre	4	0	0	0	3	0	0	0	4	3
		Grade 1 / Sub A	4	0	0	0	0	0	0	0	4	0
		Grade 2 / Sub B	5	0	0	0	0	0	0	0	5	0
		Grade 3 / Std 1 / AET 1	32	0	0	0	2	0	0	0	32	2
		Grade 4 / Std 2	17	0	0	0	1	0	0	0	17	1
		Grade 5 / Std 3 / AET 2	24	0	0	0	10	0	0	0	24	10
		Grade 6 / Std 4	20	0	0	0	5	0	0	0	20	5
		Grade 7 / Std 5 / AET 3	51	0	0	0	14	0	0	0	51	14
	Grade 8 / Std 6	33	0	0	0	11	0	0	0	33	11	
1	Grade 9 / Std 7 / AET 4	85	0	0	3	20	0	0	0	88	20	
Further Education and Training (FET)	2	Grade 10 / Std 8 / N1	134	1	0	8	35	0	0	0	143	35
	3	Grade 11 / Std 9 / N2	134	2	0	5	52	0	0	1	141	53
	4	Grade 12 / Std 10 / N3	290	8	0	39	127	0	0	6	337	133



HARMONY GOLD

FORM Q FOR EMPLOYEES											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE				Male	Female
			African	Coloured	Indian	White	African	Coloured	Indian	White		
Higher Education and Training (HET)	5	Higher Certificates	139	3	0	68	39	0	0	1	210	40
	6	Diploma and Advanced Certificates	60	0	0	9	28	0	0	1	69	29
	7	Bachelor's Degree and Advanced Diplomas	14	0	0	3	5	0	0	1	17	6
	8	Honours Degree, Postgraduate Diploma and Professional Qualifications	1	0	0	0	1	0	0	0	1	1
	9	Master's Degree	2	0	0	0	2	0	0	1	2	3
	10	Doctoral Degree	0	0	0	1	0	0	0	0	1	0
		Total	1080	14	0	136	365	0	0	11	1230	376

HARMONY GOLD

Table 5: Form Q indirect employees

FORM Q FOR INDIRECT EMPLOYEES											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE					
			African	Coloured	Indian	White	African	Coloured	Indian	White	Male	Female
General Education and Training (GET)	Below Level 1	No Schooling / unspecified	243	4	1	60	20	0	0	4	308	24
		Grade 0 / Pre	0	0	0	0	0	0	0	0	0	0
		Grade 1 / Sub A	0	0	0	0	0	0	0	0	0	0
		Grade 2 / Sub B	0	0	0	0	0	0	0	0	0	0
		Grade 3 / Std 1 / AET 1	0	0	0	0	0	0	0	0	0	0
		Grade 4 / Std 2	0	0	0	0	0	0	0	0	0	0
		Grade 5 / Std 3 / AET 2	0	0	0	0	0	0	0	0	0	0
		Grade 6 / Std 4	0	0	0	0	0	0	0	0	0	0
		Grade 7 / Std 5 / AET 3	0	0	0	0	0	0	0	0	0	0
	Grade 8 / Std 6	0	0	0	0	0	0	0	0	0	0	
1	Grade 9 / Std 7 / AET 4	1	0	0	0	0	0	0	0	1	0	
Further Education and Training (FET)	2	Grade 10 / Std 8 / N1	9	1	0	3	1	0	0	0	13	1
	3	Grade 11 / Std 9 / N2	7	0	0	0	0	0	0	0	7	0
	4	Grade 12 / Std 10 / N3	15	0	0	3	2	0	0	1	18	3

HARMONY GOLD

FORM Q FOR INDIRECT EMPLOYEES											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE					
			African	Coloured	Indian	White	African	Coloured	Indian	White	Male	Female
Higher Education and Training (HET)	5	Higher Certificates	4	0	0	0	0	0	0	0	4	0
	6	Diploma and Advanced Certificates	0	0	0	0	2	0	0	0	0	2
	7	Bachelor's Degree and Advanced Diplomas	0	0	0	0	0	0	0	0	0	0
	8	Honours Degree, Postgraduate Diploma and Professional Qualifications	0	0	0	0	0	0	0	0	0	0
	9	Master's Degree	0	0	0	0	0	0	0	0	0	0
	10	Doctoral Degree	0	0	0	0	0	0	0	0	0	0
		Total	279	5	1	66	25	0	0	5	351	30

HARMONY GOLD

Table 6: Form Q total for employees and core contractors

FORM Q FOR TOTAL WORKFORCE											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE					
			African	Coloured	Indian	White	African	Coloured	Indian	White	Male	Female
General Education and Training (GET)	Below Level 1	No Schooling / unspecified	274	4	1	60	30	0	0	4	339	34
		Grade 0 / Pre	4	0	0	0	3	0	0	0	4	3
		Grade 1 / Sub A	4	0	0	0	0	0	0	0	4	0
		Grade 2 / Sub B	5	0	0	0	0	0	0	0	5	0
		Grade 3 / Std 1 / AET 1	32	0	0	0	2	0	0	0	32	2
		Grade 4 / Std 2	17	0	0	0	1	0	0	0	17	1
		Grade 5 / Std 3 / AET 2	24	0	0	0	10	0	0	0	24	10
		Grade 6 / Std 4	20	0	0	0	5	0	0	0	20	5
		Grade 7 / Std 5 / AET 3	51	0	0	0	14	0	0	0	51	14
		Grade 8 / Std 6	33	0	0	0	11	0	0	0	33	11
	1	Grade 9 / Std 7 / AET 4	86	0	0	3	20	0	0	0	89	20
Further Education and Training (FET)	2	Grade 10 / Std 8 / N1	143	2	0	11	36	0	0	0	156	36
	3	Grade 11 / Std 9 / N2	141	2	0	5	52	0	0	1	148	53
	4	Grade 12 / Std 10 / N3	305	8	0	42	129	0	0	7	355	136



HARMONY GOLD

FORM Q FOR TOTAL WORKFORCE											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE					
			African	Coloured	Indian	White	African	Coloured	Indian	White	Male	Female
Higher Education and Training (HET)	5	Higher Certificates	143	3	0	68	39	0	0	1	214	40
	6	Diploma and Advanced Certificates	60	0	0	9	30	0	0	1	69	31
	7	Bachelor's Degree and Advanced Diplomas	14	0	0	3	5	0	0	1	17	6
	8	Honours Degree, Postgraduate Diploma and Professional Qualifications	1	0	0	0	1	0	0	0	1	1
	9	Master's Degree	2	0	0	0	2	0	0	1	2	3
	10	Doctoral Degree	0	0	0	1	0	0	0	0	1	0
		Total	1359	19	1	202	390	0	0	16	1581	406

Adult education and training (AET)

AET is the general conceptual foundation towards lifelong learning and development, comprising of knowledge, skills and attitudes. This programme was formally known as Adult Basic Education Training (ABET). The old ABET levels were previously equivalent to Grades R to 9 and consists of various learning areas.

The progression through AET levels is aimed at providing an opportunity for all employees to be functionally literate and numerate.

Figure 4 depicts the adult education and further education programme.

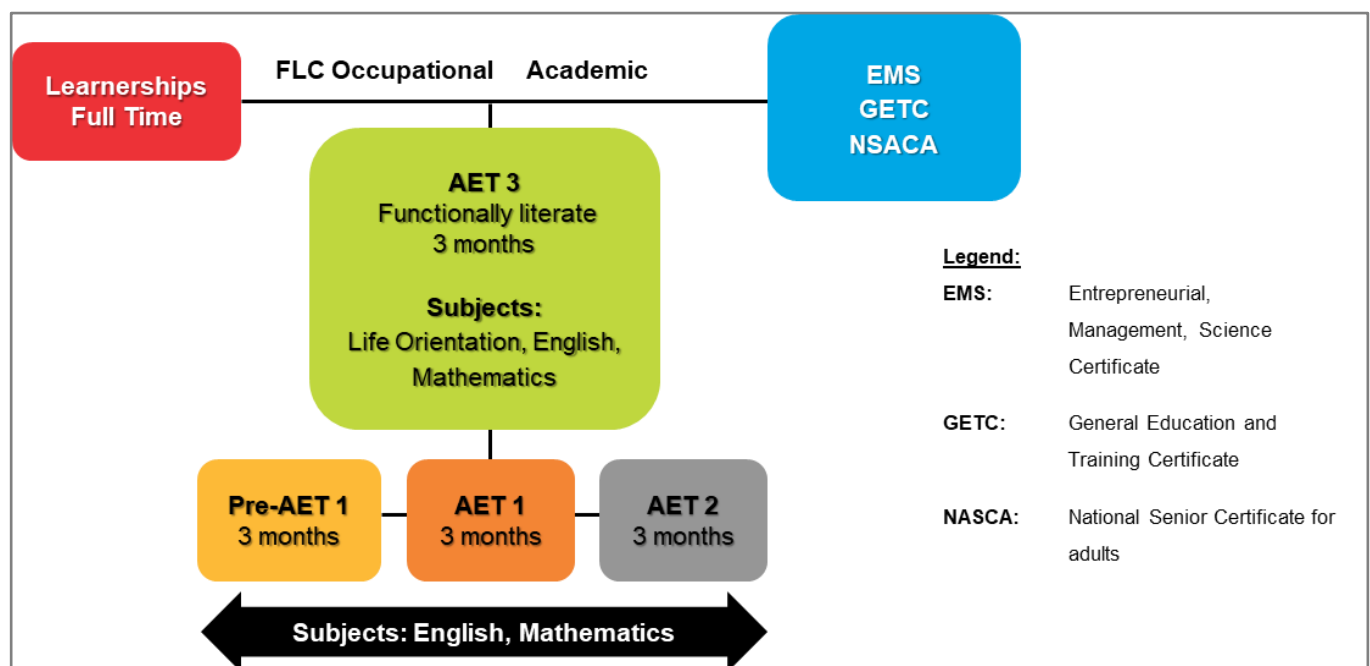


Figure 4: Adult and further education programme

Harmony offers AET classes from Pre-AET to AET level 4, where programmes are conducted on Own-Time basis at the AET centre, facilitated by an accredited Service Provider. AET is flexible, developmental and targeted at the specific needs of particular individuals and, ideally, provides access to nationally recognised certificates. The Part-time and E-AET approach is designed to be flexible and dynamic, allowing continued education and training at own time that is capable of responding quickly to the needs for knowledge and skills.

During the past years, participation in AET programmes decreased as a result of downscaling of our workforce profile and as well as improvements in literacy levels of our younger employees. AET targets for the next five (5) years have been determined by examining the company's literacy levels, considering the ages of individuals eligible for AET and following intensive initiatives including employee parades to determine the interest for AET enrolments. The AET targets for the next five years will not have any roll-over targets from the previous SLP generation as the new targets are based on the recent needs analysis. The AET targets for the next five years will not have any roll-over targets from the previous SLP generation as the new targets are based on the recent needs analysis (Table 7).

Table 7: AET targets and financial provision

AET PROGRAMME	2023	2024	2025	2026	2027
AET	5	5	5	5	5
Total	5	5	5	5	5
Financial Provision	R236 610	R248 440	R260 862	R273 905	R287 600
Total Financial provision (2023 – 2027)	R1 307 417				

In order to achieve the targets of the next five years, the Operation will intensify marketing strategies for AET programmes. Posters will be placed at strategic points across the operation and the HRD Committee will collaborate with management to promote AET enrolments. AET is a voluntary programme and employees can decide to waive their opportunity to attend.

To further increase the enrolments of AET programmes, awareness campaigns have been undertaken for promotion and awareness purposes over the past few years. Communication channels used included posters, HRD committee, flyers, and AET Days. An internal audit found that employees are fully aware of the AET facilities at the Operation. Table 8 provides the anticipated AET Training Implementation plan for this SLP's validity period (2023-2027).

Table 8: AET Training Implementation Plan for 2023 – 2027

ACCOUNTABLE DEPARTMENT / PERSON	ACTIONS AND PLAN	TIMEFRAME
Human Resources (HR) Department	Execute the updated AET plan as outlined	Within 12 months
HR Department	Annually advertise and communicate the AET Programme to the employees	Annually in preparation for the programme
HR Department	Use channels that will create the most comprehensive level of awareness, e.g. posters on site, company newsletter and so forth	Annually in preparation for the programme
HR Department	Arrange/confirm a suitable accredited service provider	At the start of the new SLP, and then only when required
HR Department	Implement the training	Annually
HR Department	Record and report the results	Annually
HR Department	Review and revise the programme where required	Annually
In the Annual SLP report, report on progress of the applicable program		

AET Facilities and Centers

The Operation's AET facilities are situated at the Operation with a network of transport and support services to deliver South African Qualification Authority (SAQA) aligned education to students. All Harmony AET centres write external examinations offered by Independent Examinations Board (IEB) and benchmark.

Core Business Skills Training

The Core Business Skills programmes will include compulsory and development training as identified on the workplace skills plan. This is to ensure that the training programmes are aligned with the business needs, MQA requirements, safety requirements and the MPRDA. The process of identifying core business skills was done in conjunction with the relevant Heads of Department to ensure alignment with the operational needs.

Table 9 includes the proposed Core Business Skills training targets and financial provision and Table 10 provides the Core Business Skills Training Programme for 2023 to 2027.

Table 9: Core Business Skills training targets and financial provision

CORE BUSINESS SKILLS	2023	2024	2025	2026	2027
Fall of Ground Comp A	10	10	10	10	10
Fall of Ground Comp B	30	30	30	30	30
FOG Comp C - Blasting Asst	20	20	20	20	20
Health and Safety Representative SP	2	2	2	2	2
Leadership Development (Includes: Team and Supervisory Leadership Development Programme (LDP), Emerging and Junior LDP, Middle and Senior LDP, Senior and Executive LDP)	10	10	10	10	10
Total	72	72	72	72	72
Financial provision	R459 663	R482 646	R506 779	R532 118	R558 723
Total financial provision (2023-2027)	R2 539 929				

Table 10: Core Business Skills Training Implementation Plan for 2023 – 2027

ACCOUNTABLE DEPARTMENT / PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Conduct a skills gap analysis by determining the skills requirements of the different departments and determining the skills in the workforce. Align this with what training is required by the workforce.	Annually. Annual plans are reviewed quarterly.
HR Department	Identify and source appropriate learning providers.	As required.
HR Department	To track and monitor the progress of the implementation of internal training.	Ongoing, with quarterly reporting to Executive Committee (EXCO) and the SLP Department.
HR Department	Core skills training will be put in place for all employees that have been earmarked. Training will be implemented throughout the year and reviewed annually as part of the performance review cycle.	Annually.
In the Annual SLP report, report on progress of the applicable programme		

Learnerships

A learnership is a registered and accredited learning programme that includes practical work experience, as well as theoretical studies, thereby integrating both workplace and institutional learning. Through a learnership, people are able to work towards a qualification whilst employed.

It provides both vertical and horizontal articulation within the qualifications framework and produces meaningful competencies for productive work. The structured learning part of the learnerships will include the unit-standard categories required to make up a qualification, i.e. fundamental learning, core learning and specialisation. Work experience must relate to structured learning and prepare learners for competence assessment.

Learnership targets and financial provision estimates are provided in Table 11 and Table 12.

Table 11: Learnership targets and financial provision (18.1)

LEARNERSHIPS	2023	2024	2025	2026	2027
Learnership Engineering	3	3	3	3	3
Learnership Mining Blasting Ticket	1	1	1	1	1
Total	4	4	4	4	4
Financial provision	R1 692 600	R1 866 091	R2 057 365	R2 268 245	R2 500 741
Financial provision (2023-2027)	R10 385 042				

NOTE: This is a planned intake per year and could be affected by operational requirements

Table 12: Learnership targets and financial provision (18.2)

LEARNERSHIPS	2023	2024	2025	2026	2027
Learnership Engineering 18.2	2	2	2	2	2
Total	2	2	2	2	2
Financial provision	R436 800	R481 572	R530 933	R585 353	R645 352
Financial provision (2023-2027)	R2 680 010				

NOTE: This is a planned intake per year and could be affected by operational requirements

Harmony is committed to closing out all existing MQA Learnerships from the previous SLP. If any leadership numbers, from the previous SLP, are rolling over, the roll-over number will be absorbed over the new SLP 5 – year period (2023-2027). Table 13 outlines the implementation plan to meet the leadership targets for the next five years.

Table 13: Learnership Training Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Identification of skills and learnership programmes needed: Finalise the learnership programme by identifying the skills requirements for each Harmony operation	Annually
HR Department	For the implementation of the learnership, the following steps will be followed: 1. Appointment of a suitable Learnership Service Provider(s) 2. Develop an advertising plan to attract the best candidates for the learnership programme and advertise and campaign accordingly 3. Link the Learnership programme to the Talent Pool Development programme. This will include a focus on HDPs, women and youth employees 4. Register and train new mining learners on learnerships as indicated per discipline. 5. Provide on-the-job training once theoretical training is completed	As required.
HR Department	Evaluate, monitor and report 1. Evaluate implementation against targets for the current year. 2. Identify success and failure factors and lessons learnt from the current year.	Ongoing,

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ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
	3. Where needed, the implementation plan will be revised for the following year	
In the Annual SLP report, report on progress of the applicable programme		

Leadership development

The Operations' People Development strategy will ensure that their employees develop to their maximum potential. There is a focus on leadership development in combination with other development initiatives such as executive, management and supervisory development. Employees will be developed in all core and critical, as well as leadership skill in order to equip them to perform their duties safely and productively.

Management and supervisory development

Managerial and supervisory training and development is generally based on the career development plans of the employees as identified through the talent pool and succession planning processes which also links into the EE imperatives and drivers of the Operation. This type of training is an essential part of ensuring that the company will run as productively and efficiently as possible now, and into the future with further emphasis on creating a skilled leadership base to sustain the organisation. There are several aspects of management that need to be addressed in order to ensure that managers will be able to do the best they can in their roles.

One of the most important aspects of effective management is how to engage employees to get the best outcomes from the team. Managers and supervisors need to know the best way to communicate with their subordinates, to involve them in work planning and execution, and to give appropriate feedback on performance. They must know how to properly assign tasks to employees so that team productivity can be maximised. Importantly, effective leaders need to understand how to lead change, optimising processes, creating systems, and generating enthusiastic commitment among subordinates for new ways of working.

All management and supervisory employees in Harmony are within the scope for the development programmes. It includes all the individuals in both operations and services.

Development programmes have been established to ensure that supervisors, middle and senior management have the required skilled knowledge to secure maximum efficiency and performance in their roles, as well as to ensure they are provided with opportunities for development to their optimum potential.

The Harmony Leadership Competency Model was revised. Subsequent to the revision, the new LDP was designed to ensure alignment across all levels of leadership.

Portable skills training

The Portable Skills programme aims to equip employees with non-mining-related portable skills; to enable them to find other forms of livelihood in different sectors of the economy. Employees working at Harmony can mostly be considered to have mining-specific skills; therefore, portable skill training is aimed at allowing the workforce to find alternative employment or start businesses.

A financial commitment of R4000 per person has been made for portable skills training. A list of possible portable skills programmes that Harmony will make available is as follows:

- Bricklayer Course
- Plumbing
- Pipe Fitting Training
- Electrical installation
- Panel Beating Training
- Carpentry
- Events Management short course
- Photography
- Beautician (Comprehensive Expert Certificate)
- Financial Accounting (National Certificate: Bookkeeping)
- Entrepreneurship Programme (National Certificate: Small Business Financial Management)

Harmony will undertake the following portable skills implementation plan (Table 14), containing key actions to achieve the targets. This implementation plan may be reviewed annually and updated with new implementation plans. It must be noted that the portable skills training programmes are made available to employees or their proxies. This is a voluntary programme and employees can decide to waive their opportunity to attend.

Table 14: Portable Skills Training Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Plan: 1. Identify appropriate economic sectors other than mining within the region 2. Identify portable skills training courses in line with the external economic context within the region 3. Develop a portable skills training plan that outlines suitable candidates, the course, service providers, and so for the facilitators, facilities, resources, timeframes and budget 4. Develop the training schedules 5. Compile an SLP compliance report of progress and achievements, and submit it to the Department of Mineral Resources and Energy (DMRE) 6. Evaluate implementation against targets for the current year	Annually

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
	7. Identify critical success factors and lessons learnt from the current year	
In the Annual SLP report, report on progress of the applicable programme		

Career progression

Harmony should commit to providing its workforce with the opportunity to grow in knowledge and skills. Inherent in this is the opportunity to progress in a career path that is aligned to the Harmony business needs and suits each employee's skill sets and personal goals. In addition, career progression and mentorship will be done to address positions of high turnover as well as hard to fill vacancies.

This section covers the career progression plan of Operation that is in line with the skills development plan and will show how opportunities are given to employees to progress through the employment levels. The career progression plan at an individual level, maps out career growth opportunities within specific career paths in both technical (specialist) and management roles in the mine. The process identifies career options for employees who are assisted to develop skills so that they are better prepared and suitably qualified to assume positions that match their individual career goals with the needs of the mine (organisational needs). Employees can navigate various career progression scenarios (or be assisted to do so) and quickly identify requirements of various positions.

Career management at the Operation links with other HRD activities such as mentorship and coaching, managing the talent pool, and EE. Training programmes and career progression paths is shown in Table 15 and the career progression implementation plan for 2023 – 2027 in Table 16.

Table 15: Training Programmes within Career Progression Paths

TRAINING PROGRAMMES WITHIN CAREER PROGRESSION PATHS	CORE MINING OCCUPATIONS	2023	2024	2025	2026	2027
Stoping Team Initial Training	Mining	15	15	15	15	15
Development Team Initial Training	Mining	20	20	20	20	20
Rock Drill Operator Initial Training	Mining	10	10	10	10	10
Scraper W/Driver Initial Training	Mining	8	8	8	8	8
Miners Assistant Initial Training	Mining	25	25	25	25	25
Loader Driver Initial Training	Mining	2	2	2	2	2
Loco Driver - Battery Initial Training	Mining	1	1	1	1	1
Stoping Team Leader Initial Training	Mining	2	2	2	2	2
Tramming Team Leader Initial Training	Mining	1	1	1	1	1
Development Team Leader Initial Training	Mining	5	5	5	5	5
Total		89	89	89	89	89
Financial provision		R286 836	R301 177	R316 236	R332 048	R348 650
Total financial provision (2023-2027)		R1 584 947				

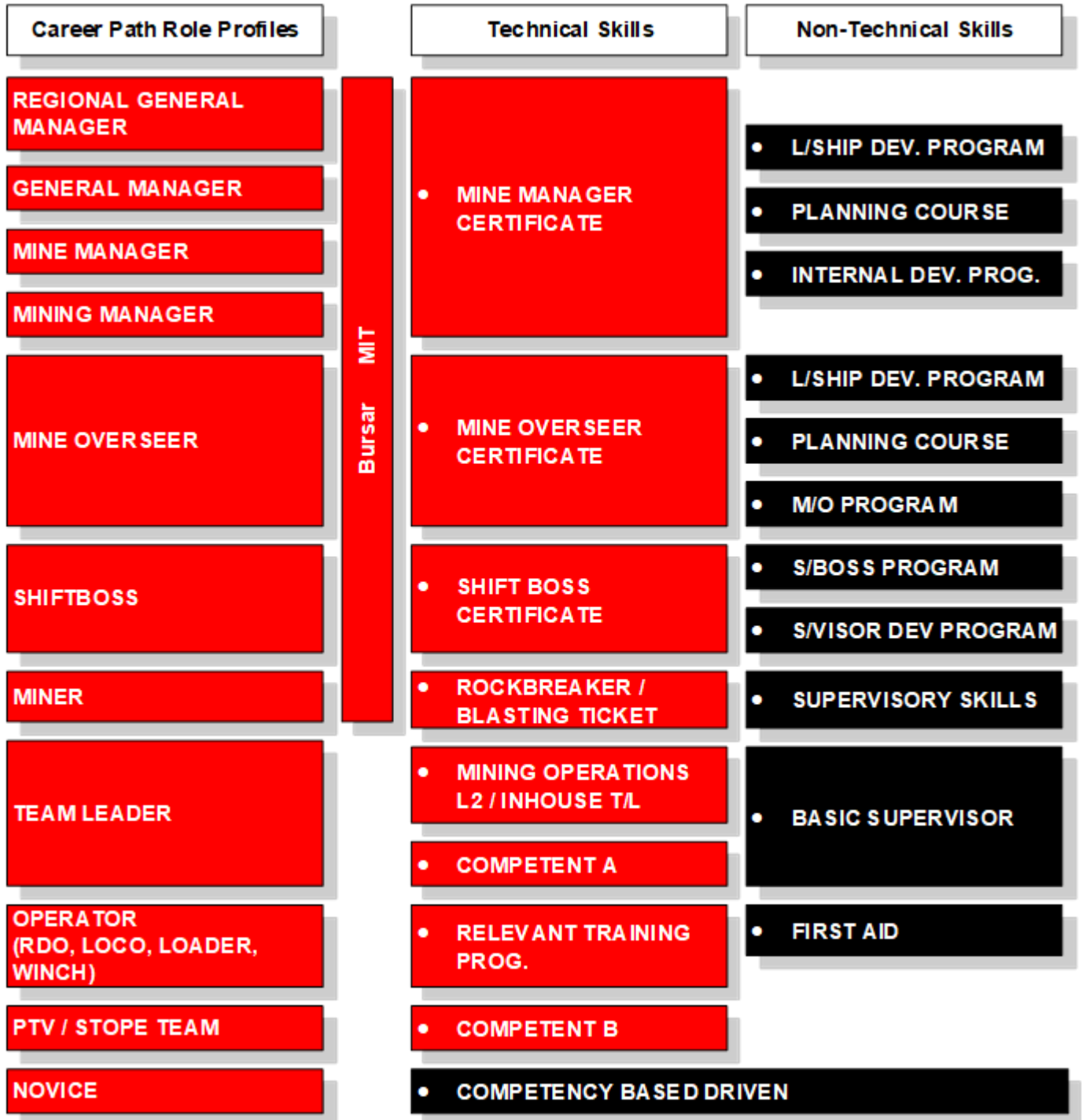
Table 16: Career Progression Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Plan 1. Identify opportunities for all employees. Career progression is available to all employees based on their career interests, availability of positions, employment equity, potential assessments, and excellent performance 2. An employee may move from one discipline to another depending on personal career interests aligned to identified organisational needs 3. Career progression plans are managed and monitored during performance management discussions between an employee and their supervisor at management levels, with top performers usually considered for opportunities to advance to higher levels within the organisation 4. Each employee's career interests are considered, within reason, when career progression plans are discussed and agreed upon through IDPs 5. Career progression takes place based on positions that become vacant or available in the mine or at other Harmony operations, and employees are promoted and/or transferred to the positions for additional career exposure 6. Career progression plans take cognisance of each operation's requirements to meet the employment equity targets 7. To monitor career progression, the development panels will be used. These are multi-disciplinary panels that monitor the careers of employees to ensure that development opportunities are made available to suitably qualified, high potential and excellent performing employees	Annually
In the Annual SLP report, report on progress of the applicable program		

Pipeline for career progression for each of the core career disciplines

The diagrams below show examples of career paths for each of the main career disciplines within Operation.

Career path – Mining



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Career path – Engineering

Entry Requirements	Career Path Role Profiles	Skills Development
	Group Engineering Manager	
Government Ticket / Appointment	SENIOR ENGINEERING MANAGER Management	Specialised Management Courses
Government Ticket / Appointment	SENIOR ENGINEER Management	Specialised Management Courses
Government Ticket / Appointment	ENGINEER Management	Specialised Management Courses
Degree / Diploma / N6 with required subjects for GCC Exam	JUNIOR ENGINEER Official	Harmony Junior Engineers Development Programme
* Level 4 Engineering Artisan * N4 / N5 / Equivalent * 5 Years Supervisory Experience	CHIEF ELECTRICIAN / CHIEF ENGINEERING SUPERVISOR Official	Harmony Certificate in Management Specialise Courses
* Relevant Trade * N3 Equivalent * 5 Years Trade Specific Experience * Completed Eng Foreman Dev Programme	ENGINEERING FOREMAN Official	Harmony Foreman Development Programme
* Degree / Diploma in electrical Engineering or Instrumentation OR * Instrumentation Mechanician Trade and N6 and ECSA Registration as a Technician	INSTRUMENTATION TECHNICIAN Official	ECSA Requirements & Specialised Instrumentation Courses
* N2 Equivalent * Technical Grade 12 with relevant Subjects including Maths & Science	ENGINEERING ARTISAN Union Men & Artisans	One of the following Skills (L3 & L4) - Instrumentation or Measuring & Control - Electrical - Fitting - Plater / Welder - Diesel Mechanic - Rigging
* N1 / Grade 10 - Maths and Science * English Literate / Communication * 1 Year Engineering Experience	SERVICE PERSON Union Men & Artisans	One of the following Skills - Electro Mechanics L2 - Horizontal Transport L2 - Stoping and Developing L2
Grade 10 (Maths, Science, English Literate and Communication)	ENGINEERING ASSISTANTS / OPERATORS Cat 4 - 8	Generic Engineering Skill i.e. Engineering Assistant Training plus Occupation Related Training (e.g. Belt Attendant Training course)
	NEW RECRUIT Grade 10 Maths & Science	

HARMONY GOLD

Career path – Ore Reserves (Survey)

Career Development

Ticketed Surveyor

Career Path Role Profiles	Qualification	Technical Skills	Non-Technical Skills
ORE RESERVE MANAGER	- NQF 8 - NHD SURVEY OR BTECH + GSCC OR - SURFACE SURV CERTIFICATE	- GRADE MANAGEMENT - FINANCE MANAGEMENT - RESERVES & RESOURCES - MANAGEMENT	- LEADERSHIP - PROFESSIONAL REGISTRATION - STRATEGIC PLANNING
SURVEY HOD (M+ 10 YEARS)	- SURVEY GOVERNMENT - CERTIFICATE OF COMPETENCY	- CARRY LEGALS - RELEVANT COMPUTER SOFTWARE	- LEADERSHIP - EMPLOYEE DEVELOPMENT
SECTION SURVEYOR (M+ 8 YEARS)	- NQF 6 - National Higher Diploma Mining Survey OR BTECH	MANAGE SECTION	FINANCIAL MANAGEMENT
MINE SURVEYOR / SENIOR SURFACE SURVEYOR (M+ 6 YEARS)	- NQF 6 - National Higher Diploma Mining Survey	- GYRO AND CHECK SURVEY - LATOUTS - HOLING NOTES	SUPERVISORY SKILLS
SHAFT / SURFACE SURVEYOR GRADUATE SURVEYOR	- NQF 5 - NATIONAL DIPLOMA SURVEY	- GYRO AND CHECK SURVEY - LATOUTS	- SUPERVISORY SKILLS - PRESENTATION & MEETING SKILLS - RELEVANT COMPUTER SOFTWARE
	COMPETENCY BASED DRIVEN		HEALTH AND SAFETY

Non Ticket Surveyor

Career Path Role Profiles	Qualification	Technical Skills	Non-Technical Skills
SECTION SURVEYOR (M+ 10 YEARS)	- NQF 8 - ADVANCED SURVEY - MRM AND OR GDE	MANAGE SECTION	- REGISTERED WITH PLATO - MANAGEMENT LEADERSHIP
MINE SURVEYOR / SENIOR SURFACE SURVEYOR (M+ 9 YEARS)	- NQF 6 - ADVANCED SURVEY OR - NHD SURVEY + MRM	- GYRO AND CHECK SURVEY - LATOUTS - HOLING NOTES	SUPERVISORY SKILLS
SHAFT / SURFACE SURVEYOR 48 MONTHS	- NQF 5 - ADVANCED SURVEY	- GYRO AND CHECK SURVEY - LATOUTS	- SUPERVISORY SKILLS - PRESENTATION & MEETING SKILLS
SENIOR SURVEYOR 36 MONTHS +12 MONTHS	- NQF 4 - ELEMENTARY SURVEY	- DEVELOPMENT + CHECK SURVEY	RELEVANT COMPUTER SOFTWARE
SURVEYOR 24 MONTHS	NQF 4	- STOPE SURVEY - INSTALL PEGS	REPORT WRITING
JUNIOR SURVEYOR 12 MONTHS	ELEMENTARY SURVEY +		
LEARNER SURVEYOR 6 MONTHS	- NQF 3 - BASIC SURVEY	- INSTALL PEGS + - MEASURING	SURVEY EQUIPMENT CARE
TRAINEE SURVEYOR	- NQF 1 ABET 4 OR - MATRIC (GRADE 12)	MATHS + SCIENCE	WORK IN TEAM
	ENTRY BASED ASSISTANCE		
	COMPETENCY BASED DRIVEN		HEALTH AND SAFETY

HARMONY GOLD

Career path – Ore Reserves (Geology)

Career Development

Graduate Route

Career Path Role Profiles	Qualification	Technical Skills	Non-Technical Skills
ORE RESERVE MANAGER	- NQF 8 - B SC HONOURS	- GRADE MANAGEMENT - FINANCE MANAGEMENT - RESERVES & RESOURCES MANAGEMENT	- LEADERSHIP - PROFESSIONAL REGISTRATION - STRATEGIC PLANNING
GEOLOGY HOD (M+10)	- NQF 8 - B Sc HONOURS - GRADUATE DIPLOMA IN - ENGINEERING (GDE)	- MANAGE A SECTION - GRADE CONTROL - MANAGE DRILLING PROJECTS - GEOLOGICAL MODELLING - APPLY COMPUTER SOFTWARE	- LEADERSHIP/ MENTORING - EMPLOYEE DEVELOPMENT - FINANCIAL MANAGEMENT
SECTION GEOLOGIST (M+8)			
SENIOR GEOLOGIST (M+6)	- NQF 8 - B SC HONOURS	- MANAGING DEVELOPMENT AND STOPING - INTERPRETE STRUCTURE - COMPILE LAYOUTS & PLANS - APPLY COMPUTER SOFTWARE	SUPERVISORY SKILLS
SHAFT GEOLOGIST GRADUATE TRAINEE	- NQF 8 - B SC GEOLOGY - NHD OR B TECH	- FACE MAPPING - STRUCTURE INTERPRETATION - APPLY DRILL AND SAMPLING TECHNIQUES	- SUPERVISORY SKILLS - MEETING SKILLS - PRESENTATION SKILLS - PROBLEM SOLVING

In House Route

Career Path Role Profiles	Qualification	Technical Skills	Non-Technical Skills
SECTION GEOLOGIST 10 YEARS	- NQF 6 - GRADUATE DIPLOMA IN - ENGINEERING (GDE)	- GRADE CONTROL - MANAGE DRILLING PROJECTS - GEOLOGICAL MODELLING - APPLY COMPUTER SOFTWARE	- PROFESSIONAL REGISTRATION - LEADERSHIP/ MENTORING - MANAGEMENT SKILLS
SENIOR GEOLOGIST 9 YEARS	- NQF 6 - MINERAL RESOURCES - MANAGEMENT (MRM)	- FACE MAPPING - STRUCTURE INTERPRETATION - APPLY DRILLING AND SAMPLING TECHNIQUES	- SUPERVISORY SKILLS - PROJECT MANAGEMENT - COMPUTER LITERATE - SUPERVISORY SKILLS
SHAFT GEOLOGIST 48 MONTHS			
SENIOR GEOTECH 36 MONTHS	- NQF 5 - Advanced Geology		
GEOTECH 24 MONTHS	- NQF 4 - INTERMEDIATE GEOLOGY	- MAPPING/ STRUCTURAL - INTERPRETATION	REPORT WRITING SKILLS
JUNIOR GEOTECH 12 MONTHS			
LEARNER SAMPLER 6 MONTHS	- NQF 4 - Basic Geology - Basic Sampling	- MAPPING - SAMPLING TECHNIQUE	- COMMUNICATION SKILLS - BUSINESS WRITING SKILLS
TRAINEE SAMPLER ENTRY NO EXPERIENCE	- NQF 4 OR ABET 4 - MATRIC (GRADE 12)	SAMPLING TECHNIQUE	
COMPETENCY BASED DRIVEN			HEALTH AND SAFETY

Career path – Metallurgy

Career Path Role Profiles	Qualification	Technical Skills	Non-Technical Skills
Group Metallurgist	B.Sc(Eng) Extraction Met B Eng/B.Sc(Eng)	4 Years Tertiary Education 10 Years Experience & broad exposure essential	- Leadership Development Programme - Management Development programme
Plant Manager	BEng/BSC(Eng) B-Tech: Extraction Metallurgy	4 Years Tertiary Education 4-5 Years Experience,	
Senior Plant Metallurgist	BEng/BSC(Eng) B-Tech: Extraction Metallurgy	4 Years Tertiary Education 4 Years Experience,	
Metallurgist	BEng/BSC(Eng) Nat Diploma – Extraction Metallurgy	3 Years Tertiary Education 4 Years Experience	Relevant Supervisory Development programme
Business Unit Leader	Manufacturing Supervisor NQF5 once registered	5 Years Experience Business Unit Leader Workbook	
Shift Foreman / Section Foreman	Mineral Beneficiation Process Controller NQF 4 once registered	5 Years Experience Foreman Workbook	
Section Supervisor / Plant Operator	Plant Controller NQF3 once registered	3 Years Experience Supervisor Workbook	
Met Operator / Section Operator	Mineral Processing Machine Operator NQF2 once registered	<u>Complete relevant course and area workbook and 2 Years experience in the following areas:</u> ✓ Ore Reception ✓ Milling ✓ Crushing ✓ Thickening and Leach ✓ Adsorption ✓ Grading Room ✓ Chemical Handling ✓ Smelting ✓ Refining ✓ Backfilling	
Met Assistant / Met Specialist	Mineral Beneficiation Plant Worker NQF 1 once registered		
GENERAL WORKFORCE	SELECTION CRITERIA Min Edu level for selection = Grade 10 with English		

Talent pool

Objective of the talent pool

The objective of the Operation's talent pool, as defined for all Harmony mines, includes the following:

- People development
- Succession management
- Performance management
- Career management
- EE – meeting EE targets

Measures to develop the talent pool

The following measures are employed to develop the talent pool:

- Mentorship / Coaching
- EE targets (as per the EE Act)
- Group/mine career opportunities (promotions, transfers and acting opportunities)
- Opportunities in Harmony's growth projects
- Expatriate opportunities in Harmony's international operations – Papua New Guinea (PNG).

Targeted employees in the talent pool

All high potential and high performing employees within Operation are eligible to be part of the talent pool. However, the number of people in the talent only includes the top talent in the mine.

The following occupational levels are represented in the talent pool:

- Technically skilled/operators: skilled technical and academically qualified workers, junior management, supervisors, foremen – Patterson bands C1 to C5
- Professionals: professionally qualified, experienced specialists and mid management – Patterson bands D1 to D5
- Senior management – Patterson bands E1 to E5

The talent pool is identified based on the top-performing employees with the highest potential, especially in core disciplines.

Mentorship

Mentorship is a key process and tool in the support of people development, EE, HRD planning, and performance management. It is a formal relationship between a mentor and a mentee and is established to enhance the mentee's career by building skills and knowledge. This is a continuous process and ensures that the mentee's potential is unlocked, which benefits everyone, including the mine.

In order for Harmony to develop highly competent leaders and a healthy pipeline of HDP leaders and professionals, an internal mentorship and coaching programme was developed to encourage and support the developmental areas as identified previously in this SLP, i.e. Learnerships and Leadership development skills (Table 17).

Table 17: Mentorship Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Identify mentors for mentees (employees in training/ Supervisors and Middle Managers with potential).	Annually
HR Department	Deliver mentor and mentee training when and where it is required to build capacity.	As required
In the Annual SLP report, report on progress of the applicable programme		

Bursaries

Harmony is committed to implementing a bursary programme for students at tertiary education institutions inclusive of the costs of enrolment, tuition, and accommodation. Recruitment of new bursars is done annually by advertising and communication primarily in local newspapers surrounding the relevant Harmony operation, as well as at local high schools. In the allocation of bursaries, preference is given to HDP's from the local communities.

Table 18 provides the proposed bursary targets and financial provision for communities.

Table 18: Bursaries (external – community)

BURSARIES TARGETS	2023	2024	2025	2026	2027
Targets	2	2	2	2	2
Financial provision	R200 000	R200 000	R200 000	R200 000	R200 000
Total financial provision (2023-2027)	R1 000 000				

NOTE: This is a planned intake per year and could be affected by operational requirements

Internships

Our MQA, internship and experiential training programme is part of Harmony's talent development programme. Graduates from different South African universities are recruited either directly or indirectly through the MQA grant system and placed on the internship programme over a period of time not longer than two years, to gain necessary practical work experience in various core mining related disciplines such as mining, engineering, geology, metallurgy and survey. Most of the graduates are HDPs and are drawn from the immediate local communities where Harmony operates. Once these learners have completed the internship programme, Harmony exercises the first option whether or not to offer the candidates permanent employment.

This programme does not only help to provide the individuals with practical work experience, but also to equip the candidates with business management and leadership skills to prepare them for future managerial related work.

Internship targets for 2023 to 2027 are captured in Table 19.

Table 19: Internship training targets and financial provision

INTERNSHIP TARGETS	2023	2024	2025	2026	2027
Internship programme (Includes work experience and Internships)	1	1	1	1	1
Financial provision	R98 858	R103 800	R108 990	R114 440	R120 162
Total financial provision (2023-2027)	R546 250				

NOTE: This is a planned intake per year and could be affected by operational requirements

Harmony is committed to closing out all existing internships from the previous SLP. If any internship numbers are rolling over, the roll-over number will be absorbed over the SLP 5 – year period (2023-2027). Table 20 outlines the implementation plan to meet the bursary and internship targets for the next five years.

Table 20: Bursaries and Internships Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Advertise bursary and internship opportunities to the communities. Advertisements can be placed in local newspapers and on the local radio stations	Annually
HR Department	Determine the targets for internships and bursaries. The internship target will be informed based on the operation's business needed as well as the needs within the host communities	When required

HR Department	Provide ongoing support, mentorship and coaching to the bursars and interns	When required
In the Annual SLP report, report on progress of the applicable programme		

Employment equity baseline (as per March 2022)

The Operation is committed to organisational transformation, along with the transformation of South African society. The mine strategically views transformation as a long-term opportunity for the sustainable growth of the company's business.

Table 21 shows the employment number for Board and Top Management, which is consistent for all of Harmony's operations. Table 22 is the permanent workforce number per operation, and Table 23 indicates the workers who consist of core and critical skills as well as those who have disabilities. It should be noted that the total figure in Table 23 is absorbed within the total workforce number, as indicated in Table 22. Table 24 indicates the workforce number for the core contractors.

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Table 21: Employment Equity Baseline for Board and Top management (Form S)

OCCUPATIONAL LEVELS	EMPLOYMENT EQUITY BASELINE - TARGET										TOTAL
	MALE				FEMALE				FOREIGN NATIONAL		
	African	Coloured	Indian	White	African	Coloured	Indian	White	M	F	
Board	4	0	1	4	2	1	0	0	1	0	13
Top Management	5	0	0	6	3	0	1	1	1	0	17
Total	9	0	1	10	5	1	1	1	2	0	30

Table 22: Employment Equity Baseline for Senior, Middle, Junior, Semi-skilled and Unskilled (Form S)

OCCUPATIONAL LEVELS	EMPLOYMENT EQUITY BASELINE - TARGET										TOTAL
	MALE				FEMALE				FOREIGN NATIONAL		
	African	Coloured	Indian	White	African	Coloured	Indian	White	M	F	
Senior Management	2	0	0	3	1	0	0	0	0	0	6
Middle Management	14	1	0	8	3	0	0	1	1	1	29
Junior Management	328	9	0	114	87	0	0	7	38	0	583
Semi-skilled and discretionary decision making	216	3	0	3	46	0	0	3	81	6	358
Unskilled and defined decision making	297	0	0	7	166	0	0	0	105	55	630
Total	857	13	0	135	303	0	0	11	225	62	1606

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Table 23: Employment Equity Baseline for Core Skills and People with Disabilities (Form S)

OCCUPATIONAL LEVELS	EMPLOYMENT EQUITY BASELINE - TARGET										TOTAL
	MALE				FEMALE				FOREIGN NATIONAL		
	African	Coloured	Indian	White	African	Coloured	Indian	White	M	F	
Core Skills	801	12	0	129	245	0	0	3	219	60	1469
People with Disabilities	0	0	0	0	0	0	0	0	0	0	0
Total	801	12	0	129	245	0	0	3	219	60	1469

Table 24: Employment Equity Baseline for Non-permanent Employees (Outside Contractors) (Form S)

OCCUPATIONAL LEVELS	EMPLOYMENT EQUITY BASELINE - TARGET										TOTAL
	MALE				FEMALE				FOREIGN NATIONAL		
	African	Coloured	Indian	White	African	Coloured	Indian	White	M	F	
Non-permanent Employees (Outside Contractors)	271	5	1	66	25	0	0	5	8	0	381

Employment equity plans and targets (2023 – 2027)

In line with Harmony's transformation strategy, workforce diversification remains paramount to the company. Whilst the aim is to comply with applicable regulatory requirements, the long-term goal is to create a workforce that equitably represents the South African population. The operation is committed to organisational transformation, along with the transformation of South African society. Moreover, the operation strategically views transformation as a long-term opportunity for the sustainable growth of the company's business. Harmony believes that achieving EE is an integral part of building an effective and representative workforce to ensure equality among its employees. To this end, the EE Plans in this SLP have been prepared as per Section 20 (2) (a-h) of the Employment Equity Act 55 of 1998, the MPRDA and per the Harmony Gold Mining Limited business principles and strategy on transformation.

The EE plans were prepared in consultation with all relevant stakeholders, including recognised Trade Unions operating within Harmony's operations. The purpose of the EE plans at Harmony is to advance transformation and broaden the diversity of the workforce whilst maintaining and improving our efficiencies and competitiveness in the gold mining industry. In advancing EE, the company promotes equal opportunity and fair treatment in employment through eliminating unfair discrimination and implementing affirmative action measures to redress the historic disadvantages in employment experienced by designated groups to ensure equitable representation in all occupational categories and levels in the workforce. The following Mining Charter 2018 definitions have been customised in line with the company's reporting in terms of the Employment Equity Act (Act 55 of 1998) and the Operation's Management structure:

- **Board** shall mean the company's Board of Directors in terms of its Articles of Association
- **Executive Management** shall mean Top Management who are the Company's Executive Management Team within the South African Operations, which includes Discipline Executives, Regional General Managers, Chief Operating Officer/s, Senior Executives, and Financial Director/s
- **Senior Management** shall mean managers at the operation who are employed at Paterson Grade E- Band
- **Middle Management** shall mean employees who are categorised as "Professionally Qualified" and are employed at Paterson Grade D-Band
- **Junior Management** shall mean employees who are categorised as "Skilled technical and academically qualified workers, junior management, supervisors, foremen, and superintendents"
- **Core and Critical Skills** are defined as all occupations stipulated in Form S, in particular the Mining, Engineering, Ore Reserve Management and Metallurgy disciplines.

The Board and Top Management structure operates across all areas of Harmony and that the highest management structure at the Operation is MANCOM (Management Committee) which comprises employees at Senior Management and Middle Management levels only. The 2018 BBSEE Charter of the South African Mining and Minerals Industry requirements with regards to EE is as stated below:

Workplace diversity and equitable representation at all levels are catalysts for social cohesion, transformation and competitiveness. To create a diverse workplace, as well as ensure participation of Historically Disadvantaged Persons in all decision-making positions, and core occupational categories in the mining industry, a mining right holder must achieve a minimum threshold of Historically Disadvantaged Persons that reflects the provincial or national demographics in the following manner:

- **Board:** At least 50% HDP, of which 20% must be women;
- **Executive Management:** At least 50% HDP, of which 20% must be women;
- **Senior Management:** At least 60% HDP, of which 25% must be women;
- **Middle Management:** At least 60% HDP, of which 25% must be women
- **Junior Management:** At least 70% HDP, of which 30% must be women
- **Employees with Disability:** At least 1.5% of employees with disabilities; and
- **Core and Critical skills:** At least 60% of HDP must be represented in the mining rights holder's core and critical skills. Core and critical skills must include science, technology, engineering, and mathematical skills represented across all organisational levels. To achieve this, the mining right holder must identify and implement its existing skills pool in line with the approved Social and Labour Plan.

Harmony is committed to the strategic objectives of the Employment Equity Act, which include having individuals from previously disadvantaged groups represented at all levels within the next five (5) years. Accordingly, Harmony's targets across all levels have been set per Mining Charter 2018 targets and are depicted in Table 25.

Table 25: Employment Equity targets as per Mining Charter 2018

	MC 2018 TARGET	BASELINE	2023	2024	2025	2026	2027
Board							
HDPs	50%	50%	50%	55%	60%	60%	60%
HDP (F)	20%	20%	20%	20%	22%	24%	25%
Top Management (EXCO)							
HDPs	50%	55%	55%	55%	56%	56%	58%
HDP (F)	20%	25%	25%	25%	26%	26%	26%
Senior Management							
HDPs	50%	59%	59%	60%	60%	62%	63%
HDP (F)	25%	28%	28%	29%	29%	30%	30%
Middle Management							
HDPs	60%	57%	57%	58%	59%	60%	62%
HDP (F)	25%	27%	27%	28%	28%	29%	30%
Junior Management							
HDPs	70%	68%	68%	68%	70%	70%	72%
HDP (F)	30%	22%	22%	24%	26%	28%	30%
Employees With Disabilities							
HDPs	1.50%	0.8%	0.8%	1%	1.2%	1.3%	1.5%
Core And Critical Skills							
HDPs	60%	65%	65%	68%	70%	72%	75%

The Operation's response to the above targets for 2023-2027 are as set out hereunder:

- In developing the Operation's EE Plan for the Period of five (5) years, considerations were made to the operation's workforce analysis, workforce projections, Life of Mine Plans, Business Planning and Objectives as well as the Operation's HRD plans. The operation also took into consideration its obligations under the EE Act No 55 of 1998 and the Broad-based Black Economic Empowerment Act and Codes of Good Practice in developing the EE targets
- Each operation will continue to strive towards ensuring that targets as prescribed in Mining Charter 2018
- Each level of management has a stipulated HDPs percentage requirement. Therefore, Harmony will empower their employees to fill these quotas where possible. The following actions will underline this approach:
 - A priority is the selection, training and empowering of HDPs applicants at lower management levels from within the operation to progress, where possible, into the position that may arise. Career progression plans will inform this approach;
 - The recruitment of HDPs candidates from outside the operation will take place as a second option. This will come into effect after Harmony has attempted to implement the above step, upskilling and recruiting in-house, without success.

Harmony will align its EE Plan to local recruitment and human resources development strategies for the current operations. The company will prioritise promoting and recruiting HDPs, females and people with disabilities. It is to be noted, however, that the operation still has challenges in achieving 1.5% of employees with disabilities as a percentage of its workforce due to the nature of the risks associated with the underground environment where most of the mining operations happen. The underground environment is highly regulated by Mine Health and Safety Act (Act 29 of 1996) (MHSA), which requires a fitness certificate to work underground. However, more effort is taken to identify positions which can be filled by people with disabilities. Harmony will contract a suitable recruitment agency to support the attraction, onboarding and ongoing support of disabled employees.

Further to the above strategies, Harmony will focus particularly on achieving the EE targets for the relevant groups, as further displayed in the implementation plan included in Table 26 .

Table 26: Employment Equity Implementation Plan for 2023 - 2027

ACCOUNTABLE PERSON	ACTIONS, PRINCIPLES AND PLANS	TIMEFRAME
HR Department	Use the EE report to accurately regulate the existing racial and gender combination at each operation and the use the findings of this report to inform any changes that may be needed in terms of employment around HDPs Harmony will provide a preference to HDPs for skilled and management positions in line with job requirements	Annually

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ACCOUNTABLE PERSON	ACTIONS, PRINCIPLES AND PLANS	TIMEFRAME
	Harmony will draw on individual career development and to facilitate the development of HDPs into management positions Harmony will prioritise the communication of job opportunities within the operation Through the mentorship programmes, Harmony will link mentors and coaches to HDPs individuals in the talent pool who exhibit potential and are high flyers. These employees can be drawn up into management positions. Also, Harmony will prioritise selecting, training and empowering candidates at lower levels from within the organisation to progress within the organisation Harmony will ensure that women are targeted for learnerships, bursaries, internships, career progression and during the recruitment process The abovementioned implementation must be reflective of the demographics	
In the Annual SLP report, report on the EE status and progress		



SECTION 3 OVERVIEW

According to the DMRE SLP Guidelines, the primary objective of MCD is to meaningfully contribute towards community development, both in terms of size and impact, in keeping with the principles of the social license to operate. This section includes relevant inputs pertaining to MCD in line with the DMRE SLP Guidelines.



SECTION 3: MINE COMMUNITY DEVELOPMENT

OVERVIEW

Section 3 of this SLP binds Harmony to the LED projects that will be implemented in the relevant communities for the period 2023 – 2027. Harmony is committed to delivering LED projects that are contextually relevant to the Company's Objectives and Vision (as presented in Section 1: Vision and Objective for the SLP). Furthermore, Harmony acknowledges its operations' external context, including each operation's regional and local socio-economic condition. For Harmony, a key priority is the upliftment of the communities from which the operation draws a significant percentage of its employees.

Moreover, a critical focus of the operation's LED aim is to address the socio-economic needs of its local and regional communities. Harmony acknowledges the importance of encouraging local and rural development and the social upliftment of mining-affected communities. Similarly, the company recognises that the business of gold mining has considerable economic, social and environmental impacts, which must be considered during the life of the operation.

Of equal importance is the focus on empowering communities beyond the life of mine. Such a vision will ensure that communities are socio-economically independent of the mine. Focusing on mine closure has the potential to create livelihoods for communities that are people-centred, impactful and sustainable. Therefore, through the SLP, Harmony commits to projects that will assist in building community empowerment by focusing on poverty reduction and climate change resilience.

As per Regulation 46(c): Local economic development programme, the following is covered in this section:

- Regulation 46(c)(i): The social and economic background of the area in which the mine operates
- Regulation 46(c)(ii): Key economic activities of the area in which the mine operates
- Regulation 46(c)(ii): Impact of the mine in local and labour-sending communities
- Regulation 46(c)(iii): Infrastructure and poverty eradication projects in the local and labour-sending areas
- Regulation 46(c)(iv): Housing and living conditions
- Regulation 46(c)(v): Measures to address nutrition
- Regulation 46(c)(vi): Procurement progression plan and its implementation for HDP companies in terms of capital goods, services and consumables

SOCIAL AND ECONOMIC BACKGROUND INFORMATION (REGULATION 46 (C) (I))

The following tables present the population (Table 27), gender (Table 28) and language groups (Table 29) of the people living in the LDM and MLM.

The social baseline discussed below has been developed from secondary information at a provincial, district and municipal level. The baseline information provides an overview of the relevant socio-economic indicators of the area of influence. Masimong Operations fall under the jurisdiction Matjhabeng Local Municipality (MLM) in Lejweleputswa District Municipality (LDM), Free State Province.

Population, gender and language groups

The following tables present the population, gender and language groups of the people living in MLM in LDM.

Table 27 represents the population size of the LDM and MLM in terms of race. Both the LDM and MLM consist of a predominantly African population (89.4% for LDM and 88.9% for MLM). The remainder of the 10.6% in the LDM and 11.1% in the MLM are made up of Coloured, Indian, and White groups. The MLM has a total population of 429 113 people. The LDM has a total population of 646 920.

Table 27: Population

POPULATION GROUP	POPULATION SIZE	PERCENTAGE
LEJWELEPUTSWA DISTRICT MUNICIPALITY		
Black	578 586	89.4%
Coloured	12 291	1.9%
White	54 266	8.4%
Indian/Asian	1 777	0.3%
Total population	646 920	100%
MATJHABENG LOCAL MUNICIPALITY		
Black African	381 335	88.9%

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POPULATION GROUP	POPULATION SIZE	PERCENTAGE
Coloured	10 112	2.4%
Indian or Asian	1 204	0.3%
White	36 462	8.5%
Total population	429 113	100%

(Source: CS, 2016)

Table 28 presents the gender size of the LDM and the MLM. The LDM has an equal number of males to females (50% males and 50% females). The MLM consists of more males, (50.3%) as compared to the number of females (49.7%). The gender make-up of the LDM is not consistent with that in the country, where the gender profiles are similarly skewed towards females. The Human Resources Development and LED strategies could contribute to gender equity by implementing higher female employment and skills development targets.

Table 28: Gender

GENDER	POPULATION SIZE	PERCENTAGE
LEJWELEPUTSWA DISTRICT MUNICIPALITY		
Male	323 410	50%
Female	323 509	50%
MATJHABENG LOCAL MUNICIPALITY		
Male	215 820	50.3%
Female	213 293	49.7%

(Source: CS, 2016)

Table 29 indicates that the principal spoken languages in both LDM and MLM are Sesotho (71.7% and 73.8%) and Afrikaans (9.5% and 9.9%) respectively. Harmony needs to ensure that communication and engagement with stakeholders take into consideration the cultural systems related to Sesotho and Afrikaans. In accordance with the relevant legislation, the SLP will need to be translated into a local dominant language. In the case of Masimong mine, the SLP will be translated into Sesotho.

Table 29: Language groups

FIRST LANGUAGE	POPULATION SIZE	PERCENTAGE
LEJWELEPUTSWA DISTRICT MUNICIPALITY		
Sesotho	464 023	71.7%
Afrikaans	61 506	9.5%
IsiXhosa	54 640	8.5%
Setswana	33 161	5.1%
English	7 088	1.1%
Not applicable	11 884	1.8%
Other	14 618	2.3%



FIRST LANGUAGE	POPULATION SIZE	PERCENTAGE
LEJWELEPUTSWA DISTRICT MUNICIPALITY		
MATJHABENG LOCAL MUNICIPALITY		
Sesotho	316 543	73.8%
Afrikaans	42 415	9.9%
IsiXhosa	40 546	9.5%
English	5 831	1.4%
Not applicable	7 314	1.7%
Isizulu	5 696	1.3%
Other	10 767	2.5%

(Source: CS, 2016)

Main economic activities

The following section presents the employment sector (Table 30), economic activities (Table 31), economic status (Table 32) income levels (Table 33) and of the people living in the LDM and MLM.

As presented in Table 30, the majority of the workforce in LDM (71.4%) and MLM (74.5%) are employed in the formal sector while only 12.2% in the LDM and 10.8% in the MLM are in the informal sector.

Table 30: Employment sector

EMPLOYMENT SECTOR	POPULATION SIZE	PERCENTAGE
LEJWELEPUTSWA DISTRICT MUNICIPALITY		
In the formal sector	103 781	71.4%
In the informal sector	17 796	12.2%
Private household	20 374	14%
Do not know	3 463	2.4%
MATJHABENG LOCAL MUNICIPALITY		
In the formal sector	75 625	74.5%
In the informal sector	10 971	10.8%
Private household	12 685	12.5%
Do not know	2 242	2.2%

(Source: CS, 2016)

Employment

Table 31 presents the economic activities in the LDM. Mining constitutes the largest economic sector at 35% whilst manufacturing and electricity and construction make up the smallest sector at 4%. The LED projects will need to take into consideration the possibility of developing sustainable projects that promote diversification of the economic sectors within the municipality.

Table 31: Employment activities

STRUCTURE OF THE ECONOMY	PERCENTAGES
LEJWELEPUTSWA DISTRICT MUNICIPALITY	
Agriculture	8%
Mining	35%
Manufacturing	4%
Transport	7%
Electricity and Construction	4%
Trade	13%
Finance	12%
Community services	17%

(Source: Lejweleputswa District Municipality Profile, 2020)

Table 32 indicates that both municipalities have high rates of unemployment (19.9% and 21.2%) and economically inactive populations (39.8% and 38%) respectively. As such, even the number of discouraged work-seekers is high.

Table 32: Employment status

EMPLOYMENT STATUS	POPULATION SIZE	PERCENTAGE
LEJWELEPUTSWA DISTRICT MUNICIPALITY		
Discouraged work-seeker	23 929	5.8%
Employed	142 679	34.6%
Other not economically active	164 285	39.8%
Unemployed	81 955	19.9%
MATJHABENG LOCAL MUNICIPALITY		
Discouraged work-seeker	13 310	4.8%
Employed	99 886	36.1%
Other not economically active	105 237	38%
Unemployed	58 579	21.2%

(Source: CS, 2016)

Income Levels

Household income is widely distributed across income brackets in the LDM and MLM. In LDM, the majority of the population (21.4%) has an income level between R10K-R20K while in the MLM, more people (18.5%) earn between R40K-R75K. Moreover, data also indicate that 9.2% of the population in LDM and 8.8% of the population in MLM, have no income annually.

Combining the first four income brackets in Table 33, it can be determined that 43.4% of households in LDM and 37 % of households in MLM earn below R38,400 per annum (about R3,200 per month). This is considered to be a low annual income and is reflective of inexpensive, labour-intensive jobs, which do not require any formal education or training available in the area.

The figure also corroborates the generally low education levels, as income earned by low-skilled labourers is lower than income earned by highly skilled workers. In addition, these figures indicate that there is a considerable amount of people who have no income and hence, that poverty is a challenge and there could be an increased number of vulnerable people in the area due to their economic status. These figures should be taken into consideration to guide the Human Resources Development and LED programmes and strategies.

Table 33: Income levels

INCOME LEVEL	POPULATION SIZE	PERCENTAGE
LEJWELEPUTSWA DISTRICT MUNICIPALITY		
R0	13 090	9.2%
Under R4800	6 067	4.3%
R5k - R10k	12 545	8.8%
R10k - R20k	30 571	21.4%
R20k - R40k	23 840	16.7%
R40k - R75k	23 060	16.2%
R75k - R150k	16 056	11.3%
R150k - R300k	9 420	6.6%
R300k - R600k	2 388	1.7%
R600k - R1.2M	473	0.3%
R1.2M - R2.5M	277	0.2%
Over R2.5M	237	0.2%
Unspecified	4 654	3.3%
MATJHABENG LOCAL MUNICIPALITY		
R0	8 751	8.8%
Under R4800	3 953	4%
R5k - R10k	8 039	8.1%
R10k - R20k	17 083	17.1%
R20k - R40k	17 267	17.3%

R40k - R75k	18 481	18.5%
R75k - R150k	12 634	12.7%
R150k - R300k	7 588	7.6%
R300k - R600k	1 945	2%
R600k - R1.2M	336	0.3%
R1.2M - R2.5M	181	0.2%
Over R2.5M	163	0.2%
Unspecified	3 465	3.5%

(Source: CS, 2016)

Education levels, housing and access to services

The level of education (Table 34) is used as an indicator of human capital and is measured by the percentage distribution of the adult population and the highest level of schooling they completed. South Africa's National Qualification Framework (NQF) consist of 10 levels divided into three bands; Levels 1 to 4 equate to high school grades 9 to 12 or vocational training, 5 to 7 are college diplomas and technical qualifications, 7 to 10 are university degrees. The following section presents the education levels, housing, and access to services of the people living in the LDM and MLM.

Table 34: Education levels in Lejweleputswa District Municipality

EDUCATIONAL LEVELS	LEJWELEPUTSWA DISTRICT MUNICIPALITY	
	POPULATION SIZE	PERCENTAGE
None	19 257	4.6%
Other	1 526	0.4%
Some primary	52 966	12.8%
Primary	22 712	5.5%
Some secondary	158 623	38.2%
Grade 12 (Matric)	132 551	31.9%
Undergrad	10 956	2.6%
Post-grad	9 993	2.4%
N/A	6 647	1.6%

Approximately 4.6% of the population in the LDM and 3% in the MLM have no formal schooling (Table 35). About 31.9% in the LDM and 35.4% in the MLM have completed secondary school up to Grade 12. Only 2.6% of the people in the LDM and 2.8% in the MLM have a higher education level. The challenge for LDM and MLM is to increase the percentage of people that enter higher education. The lack of formal education can usually be mitigated by acquiring skills. Skills programmes need to be identified and aligned to the scarce skills areas published for the local/district municipal area.

The dependency ratio in Letjweleputswa has slightly declined as compared to the Census 2011. The dependency rate was estimated to be 46,2% in 2016 and was recorded to be 51,3% 2011 (LDM - Demographic (municipalities.co.za). The dependency ratio in Matjhabeng has slightly increased as compared to the Census 2011. The dependency rate was estimated to be 42,4% in 2016 and was recorded to be 46,9% 2011 (MLM - Demographic (municipalities.co.za).

The dependency rate is good indicator of the level of dependency on government to take care of its community. Based on the increasing dependency ratio, it can be deduced that there is a need for local economic development programmes that promote skills development and sustainable livelihood strategies that will reduce dependency ratio.

Table 35: Education levels for Matjhabeng Local Municipality

EDUCATIONAL LEVELS	MATJHABENG LOCAL MUNICIPALITY	
	POPULATION SIZE	PERCENTAGE
None	8 614	3%
Other	885	0.3%
Some primary	29 174	10.3%
Primary	13 946	4.9%
Some secondary	110 226	39%
Grade 12 (Matric)	100 097	35.4%
Undergrad	7 775	2.8%
Post-grad	7 517	2.7%
N/A	4 765	1.7%

(Source: CS, 2016)

Table 36 and Table 37 show that 15.7% of the households in the LDM and 14.8% in the MLM still live-in informal dwellings, whereas 76.2% in the LDM and 76.9% in the MLM live in houses.

Dwelling types

Table 36: Dwelling types in Lejweleputswa District Municipality

DWELLING TYPE	LEJWELEPUTSWA DISTRICT MUNICIPALITY	
	POPULATION SIZE	PERCENTAGE
House	165 962	76.2%
Apartment	3 243	1.5%
Shack	34 293	15.7%

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Flat in backyard	10 021	4.6%
Other	4 394	2%

(Source: CS, 2016)

Table 37: Dwelling types Matjhabeng Local Municipality

DWELLING TYPE	MATJHABENG LOCAL MUNICIPALITY	
	POPULATION SIZE	PERCENTAGE
House	114 748	76.9%
Apartment	22 004	14.8%
Shack	6 789	4.6%
Flat in backyard	3 035	2%
Other	2 588	1.7%

(Source: CS, 2016)

Access to services

Regarding access to water, 43.3% of the LDM population and 54.4% of the MLM population source their water from piped water inside their house, whilst 1.2% of the people in both LDM and MLM source their water on the community stands. In addition, the majority of the people in the LDM (84.1%) and the MLM (86.2%) have access to a flush toilet. Whilst 3.4% in the LDM and 3.1% in the MLM use a bucket toilet.

In terms of access to electricity, most of the households from LDM (78.8%) and MLM (78.9%) use in-house prepaid meters. This is beneficial, as the significant advantage of prepaid electricity is that one can manage their own cash flow and use of electricity. Refer to Table 38 and Table 39.

Table 38: Services in Lejweleputswa District Municipality

TYPES OF SERVICES	LEJWELEPUTSWA DISTRICT MUNICIPALITY	
	POPULATION SIZE	PERCENTAGE
Main source of drinking water		
Piped water inside house	280 367	43.3%
Piped water inside yard	324 582	50.2%
Piped water on community stand	7 717	1.2%
Public/communal tap	8 345	1.3%
Other	25,912	4%
Access to electricity		
In-house prepaid meter	509 956	78.8%
In-house conventional meter	95 616	14.8%
No access to electricity	25 854	4%
Other source (not paying for)	10 465	1.6%
Other	5 028	0.8%

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TYPES OF SERVICES	LEJWELEPUTSWA DISTRICT MUNICIPALITY	
	POPULATION SIZE	PERCENTAGE
Access to sanitation		
Flush toilet	543 811	84.1%
Pit toilet	57 101	8.8%
Access to sanitation		
Other	21 929	3.4%
Bucket toilet	543 811	84.1%

(Source: CS, 2016)

Table 39: Services in Matjhabeng Local Municipality

TYPES OF SERVICES	LEJWELEPUTSWA DISTRICT MUNICIPALITY	
	POPULATION SIZE	PERCENTAGE
Main source of drinking water		
Piped water inside house	233 366	54.4%
Piped water inside yard	172 920	40.3%
Piped water on community stand	5 596	1.3%
Public/communal tap	5 309	1.2%
Other	11 922	2.8%
Access to electricity		
In-house prepaid meter	338 377	78.9%
In-house conventional meter	70 483	16.4%
No access to electricity	13 007	3%
Other source (not paying for)	5 429	1.3%
Other	1 818	0.4%
Access to sanitation		
Flush toilet	369 768	86.2%
Pit toilet	29 674	6.9%
Other	11 500	2.7%
Bucket toilet	13 371	3.1%

(Source: CS, 2016)

Access to health services

In terms of health facilities, there is a total of 43 primary healthcare (PHC) facilities in Lejweleputswa Districts (Municipal Profile, 2020).

Vulnerable groups

Vulnerable groups are people who by virtue of gender, ethnicity, age, physical or mental disability, economic disadvantage, or social status may be more adversely affected by project impacts than others and who may be limited in their ability to claim or take advantage of project related benefits (International Finance Corporation (IFC), 2006). The most common groups identified as vulnerable are children, the elderly, child or female headed households, the poor and the disabled. Other socio-economic aspects also make certain people and groups more vulnerable such as low levels of education and high levels of unemployment. The low average monthly income combined with the high dependency ratio and high unemployment rates is likely to mean high levels of poverty. Appropriate engagement measures should be considered to ensure inclusion and participation of vulnerable groups in the development and implementation of the SLP.

KEY ECONOMIC ACTIVITIES (REGULATION 46 (C) (II))

Lejweleputswa District Municipality

The LDM is one of five municipalities within the Free State Province. Situated in the North west of the province, it borders the North West and Northern Cape Provinces. Maize is the main agricultural product within the municipality which possesses diverse farming and agri-processing activities. The agriculture industry is important for a number of reasons namely, food security, employment opportunities, the economy, and provides a good foundation for rural development. Gold mining also occurs within the district. The declining mining sector has impacted the local economy and there are effort to develop post mining opportunities to offset the closure of mines and job losses.

The LDM IDP presents a vision and mission that promotes sustainable development and service delivery. Arising from a recent IDP analysis (LDM, 2021/22- 2025/26), the municipality has formulated key performance areas which are aligned with the national and provincial strategies. The key performance areas are as follows:

- Key Performance Area 1: Good Governance and Public Participation Municipal Manager's Office
- Key Performance Area 2: Basic Service Delivery And Infrastructure Development
- Key Performance Area 3: Local Economic Development
- Key Performance Area 4: Financial Management and Viability
- Key Performance Area 5: Institutional development and transformation

The LDM priorities are informed by the key issues of local municipalities in the district and vertically linked with programmes and projects developed by these authorities to address challenges and enhance opportunities.

Appendix B provides an overview of issues and needs that will guide Harmony in the process of developing their LED projects fourth-generation SLPs.

The process of identifying the new generation LED projects was two-fold. The first part is underpinned by a review of secondary data sources. The principal documents that were reviewed include:

- LDM IDP 2021/22- 2025/26;
- General Household Survey, 2020.

To supplement the secondary data, primary data was obtained during extensive broad-based engagements with stakeholders. Appendix B provides an overview of the themes that were extracted from reviewing the secondary information.

Matjhabeng Local Municipality

MLM is situated in the LDM in the Free State. It is bound by the Nala Local Municipality to the north, Masilonyana Local Municipality to the south, Tswelopele Local Municipality to the east and Moqhaka Local Municipality to the west. Matjhabeng represents the hub of mining activity in the Free State Province.

The MLM IDP aims to be a benchmark developmental municipality in service delivery excellence. Its mission focusses on transparent and responsible governance, provision of efficient and effective municipal services, promotion of community self-reliance based on a culture of entrepreneurship and creation of a conducive environment for growth and development.

Based on the recent MLM IDP (MLM, 2020 – 2021), the municipality has formulated key performance areas which are aligned with the national and provincial strategies. The key performance areas are underpinned by eight strategic objectives:

- Key performance areas 1: Good governance
- Key performance areas 2: Basic Service delivery
- Key performance areas 3: Inclusive economic development and job creation
- Key performance areas 4: Institutional Transformation
- Key performance areas 5: Financial sustainability and viability

These performance areas inform specific programmes and projects that are implemented to address the challenges and enhance opportunities across the municipality.

Appendix B provides an overview of issues and needs that will guide Harmony in the process of developing their LED projects for the fourth-generation SLPs.

The process of identifying the new generation LED projects was two-fold. The first part is underpinned by a review of secondary data sources. The principal documents that were reviewed include:

- MLM IDP 2020 – 2021; and
- General Household Survey, 2020.

To supplement the secondary data, primary data was obtained during extensive broad-based engagements with stakeholders. Appendix B provides an overview of the themes that were extracted from reviewing the secondary information.

SOCIO-ECONOMIC IMPACT OF OPERATIONS - REGULATION 46 (C) (II) (B)

Harmony seeks to generate long-term shared value for our communities. We are committed to investing in the future of our communities beyond the life of our mines. This commitment is not just to empower people but also to reduce the socio-economic repercussions on communities that are often caused by mine closure. As a company we recognise that community dynamics and demands are constantly changing. Therefore, meaningful and lasting socio-economic development projects require more than a one-dimensional static implementation plan and strategy. As a result, we take a holistic approach to socio-economic development, focusing our efforts on establishing programmes and generating opportunities to uplift and empower local populations. Also, we aim to make a meaningful and lasting impact on the geographical areas where we conduct our business. In this regard, our socio-economic development programme commits to:

- Contribute to areas of development with the most significant socio-economic impact on our communities, such as infrastructure, education and skill development, job creation, and entrepreneurial growth
- Improve broad-based economic empowerment and enterprise development programmes at the local and community levels
- Our SLPs and corporate social responsibility programmes help to encourage socio-economic development in local communities
- Support the arts, culture, sports, and recreation

According to the Sustainable Development Goals, Harmony mainly focuses on poverty reduction, quality education and creating sustainable cities and communities. These priorities align with burning socio-economic issues in the South African landscape. Therefore, Harmony sees its role in the socio-development space as an agent of social change.

In South Africa, the dependability of social grants in provinces and communities indicates poverty levels and socio-economic disempowerment. The 2019 Housing and Living Conditions Survey reported that since 2002, the number of households and individuals receiving a social grant has grown considerably. While 31 % of individuals benefited from a grant in 2018, 44.3 % of households reported receiving one or more grants. Also, grants were the second most important source of income for households (45,2%) behind salaries (64,8%) and the primary source of income for nearly one-fifth (19,9%) of homes countrywide.

In this context, Harmony's function and impact on community development are critical. Harmony has 9 operations in South Africa and employs many permanent workers and core contractors. Consequently, employees and their families will benefit from salaries and labour advantages. Thus, socio-economic gains derived from employment should benefit communities in the medium to long run.

Harmony plans for their future closure by designing and implementing mitigation measures to ensure that the negative impacts often associated with mine closure are more negligible to the host communities. Empowering the workforce and communities to be less reliant on active mine operations will allow people to identify alternative revenue streams outside Harmony's business and the mining

industry. As part of this procedure, specific skills training plans, for example, portable skills training, must be prepared to foster livelihood diversification strategies.

Likewise, limited livelihood strategies within mining communities show the dire need for more forceful attempts to address issues such as poverty reduction and mine closure. Any alternative livelihood approach should increase people's resilience while also serving as a tool for creating a meaningful existence. Alternative livelihood alternatives are best explored and addressed within a framework of sustainable livelihood. Sustainable livelihood frameworks recognise that the poor may desire more than money or finances. Other tangible or intangible assets such as education and internet availability may also be required. A people-centred approach to development that considers local interests, capacities, and strengths is required to build resilient communities.

LOCAL ECONOMIC DEVELOPMENT PROJECT

Against the backdrop of multiple socio-economic challenges facing the surrounding municipalities and their citizens, it is necessary to learn from past experience, build on community interests and leverage potential development partners. Drawing on experience from previous MCD Projects, Harmony proposes developing projects that build on existing local networks and commitments where possible. In addition to the SLP investment, an effort will be made to harness the company's available natural resources such as land and water. This will aid in strengthening sustainability beyond the 5-year SLP.

In developing the fourth generations MCD/LED Projects, Harmony adopted an phased approach (Figure 5). South African legislation was the start of the process of preparing this SLP. Research, literature reviews and mining sector benchmarking were used to develop an MCD/LED Project framework based on a broad range of success criteria. Three broad development clusters were identified namely, infrastructure improvement; agriculture and livelihoods; and business enterprise. Skills development will be fundamental in all MCD initiatives to ensure ongoing planning and implementation for future growth and success.

Sampling methodology was designed to identify the proximate communities surrounding the operation that needed to be consulted. Consultation was guided by the Mining Charter (2018) and included the following stakeholders:

- External consultation with potential partners;
- Meetings with relevant municipalities;
- Discussions with community engagement structures (CES) ; and
- Broad-based engagements e.g. communities representatives, business owners NGOs/NPOs, religious bodies, recreational centres and schools.

Based on feedback from stakeholders, data was captured and analysed to determine needs, challenges and opportunities of the mine host communities. This information was grouped according to the three clusters and potential projects identified.

The project identification process was informed by several project selection criteria including geographical distribution, recurring needs, existing ownerships, potential partners, life of mine and

potential to be self-sustaining. When designing the selected MCD/ LED projects, the Operations financial commitment was considered.

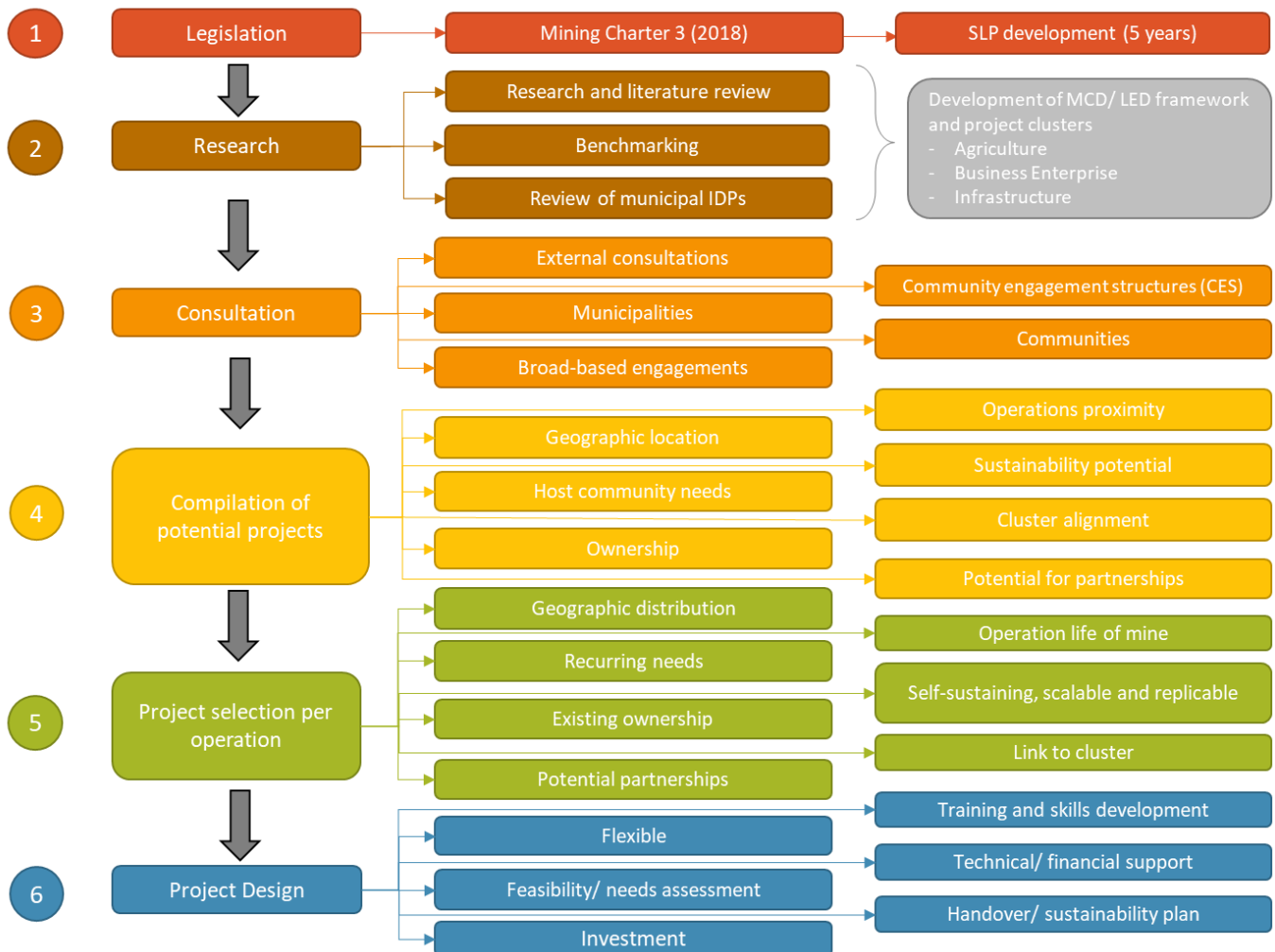


Figure 5: MCD/ LED Project selection methodology

The projects which the operation will investigate and implement in the fourth generation SLP are detailed in the below tables and are as follows:

- Project 1: Commercial and Industrial Agriculture Project

The ongoing projects which the Operation will drive in the new plan will be as follow:

- Project 2: Waste water infrastructure development project
- Project 3: Ongoing Youth Development

When designing the selected projects, Harmony adopted a structure approach that takes account of community needs and context. It is envisaged that the selected projects will comprise of the following elements:

- Social needs assessment and feasibility study;
- Training and skills development;
- Technical and financial support;
- Financial commitment; and
- Handover and sustainability plan.

In accordance with the Mining Charter (2018), an annual SLP report will be compiled by the mine outlining the progress on the MCD/ LED projects. In addition to this, on an annual basis, delegates from the Operation, Department of Mineral Resources and Energy and the Municipality will meet and recommend continuation of the project into the following year. If a decision is taken to discontinue with a project, agreement will be reached on a suggested new project, and included in a memorandum of understanding.

It is important to note that, although SLP commitments are made and reported on a calendar year, MCD will report on the company's financial year starting in July of each year and ending in June of the following year.

Proposed MCD/ LED Projects



HARMONY GOLD MINING COMPANY LIMITED

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JSE trading symbol HAR

31 January 2024

Matjhabeng Municipality
319 Stateway
PO Box 708
Welkom
Free State
9459

For Attention: Municipal Manager - Adv. L Ngoqo

Dear Sir

MEMORANDUM OF UNDERSTANDING AND AGREEMENT

We hereby confirm our commitment to the following Mine Community Projects for the calendar years 2023 to 2027 as part of our Social and Labour Plans for the following Mining Rights:

- Masimong – FS 30/5/1/2/2/82 MR
- Tshepong – FS 30/5/1/2/2/84 MR
- Target – FS 30/5/1/2/2/14 MR

The following expenditure provisions have been made for the next 5 years:

Project	5-year Expenditure
Impound Facility and Livestock Auction Centre	R 2 500 000
Commercial and Industrial Agriculture Project	R 9 000 000
Maintenance of Waste Water Infrastructure (on-going)	R16 800 000
Youth Development/ Sports Academy (on-going)	R34 521 000
Total	R62 821 000

These projects will be included in the IDP of the municipality during the IDP review process.

If you have any queries please do not hesitate to contact Lebohang Shabe at (057) 904 4039.

Yours Faithfully

LTK Shabe
HOD Sustainable Development

Adv. L Ngoqo
Municipal Manager

Directors: PT Masego* (Chairman), KT Nonduma* (Deputy Chairman), M Masing* (Chief Executive), PW Seenkamp (Chief Executive), BP Lekiso (Financial Director), HE Masego (Executive Director), JL Masego*, VP Pitya*, GR Sibiya*, PL Turner*, B Nqutabane*, M Phelelo*
*Non-Executive

Secretary: SS Mohale

PROJECT 1: COMMERCIAL AND INDUSTRIAL AGRICULTURE PROJECT

Geographical location of the project	District municipality			Local municipality	
	Lejweleputswa District Municipality			Matjhabeng Local Municipality	
Project Background:	The Matjhabeng IDP highlights agriculture as one of the strategic sectors of the economy to focus on in order to bring about economic activity that will lead to job creation and the alleviation of poverty.				
	Consultations with community structures undertaken as part of the SLP development process focused on the need to improve the community's livelihoods through agriculture development projects in the various areas of the municipality. These projects should aim to address the needs and challenges of the community in a sustainable and impactful manner.				
	During the Public Participation Process the members of the community emphasised the need for agricultural interventions and agricultural training and skill development. It is thus important to not only focus on the implementation of the project but to also ensure that beneficiaries are equipped with the relevant skills to operate the project on a sustainable basis.				
	This project will involve the erection of vegetable tunnels in the area of Kutlwanong, Nyakallong and Meloding. Various crops will be planted in the tunnels including tomatoes, potatoes, green beans, spinach, green pepper, cucumber and others depending on the planting season.				
	The vegetables produced will be sold to the members of the public as well to the Matjhabeng Market. This project will implemented with the support of other stakeholders like the Local Municipality, the Department of Agriculture and other Agricultural bodies inside and outside the municipal jurisdiction.				
	A total of 10 tunnels as well as a 0.5ha shade net will be erected in each of the identified areas and where two tunnels will be operated by one beneficiary, this means that each site will have 10 beneficiaries translating into 30 self-employment opportunities to mainly the youth and women.				
Project Objectives:	To facilitate the participation of local farmers in commercial agriculture				
Project Components	The project will comprise the following components: • Project feasibility report approved internally • Assess and establish of required infrastructure, • Set up and implement a skills development and maintenance programme; • Technical and material support to project beneficiaries				
Total Financial Contribution	Budget year 1	Budget year 2	Budget year 3	Budget year 4	Budget year 5
R1 264 000	R 94 000	R 125 000	R 156 000	R 426 000	R 463 000
Project Start Date:			Year 1 (2023)		
Provisional Project End Date:			Year 5 (2027)		
Target Group/ Beneficiaries:	Aspiring farmers		Beneficiaries		• Farmers • Municipality

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PROJECT 1: COMMERCIAL AND INDUSTRIAL AGRICULTURE PROJECT

		Number of Jobs Created	• Agricultural contractor will recruit and employ locally • Estimated number of jobs is 30
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PROJECT 2: WASTE WATER INFRASTRUCTURE DEVELOPMENT PROJECT

Geographical location of the project	District municipality			Local municipality	
	Lejweleputswa District Municipality			Matjhabeng Local Municipality	
Project Background:	The Matjhabeng IDP highlights that there is a need to improve the existing wastewater network especially in the areas of the municipality where human rights and dignity are being impacted. According to the IDP, on average 47.1% of households do not have access to sewer networks, thus emphasising the need to improve the network.				
	Consultations with community structures undertaken as part of the SLP development process focused on the need to improve the community's livelihoods through infrastructure development projects in affected areas. This projects should aim to address the needs and challenges of the community in a sustainable and impactful manner.				
	Broad-based community engagements also emphasised the need for a project that would assist the community in restoring livelihoods by improving the waste water treatment infrastructure of the area as well as developing skills development to maintain and operate the infrastructure.				
Project Objectives:	To improve the community livelihoods				
Project Components	The project will comprise the following components: • Scoping of project needs and feasibility; • Assess and establish of required infrastructure, • Set up and implement a skills development and maintenance programme; • Technical and material support to project beneficiaries				
Total Financial Contribution	Budget year 1	Budget year 2	Budget year 3	Budget year 4	Budget year 5
R1 450 000	R483 000	R483 000	R484 000		
Project Start Date:			Year 1 (2023)		
Provisional Project End Date:			Year 3 (2025)		
Target Group/ Beneficiaries:	Vulnerable community members	Beneficiaries	• Vulnerable community members impacted by overflowing water bodies		
		Number of Jobs Created	• Local SMME contractor/s will recruit and employ locally • Estimated number of jobs is 3		

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PROJECT 3: ONGOING YOUTH DEVELOPMENT

Geographical location of the project	District municipality			Local municipality	
	Lejweleputswa District Municipality			Matjhabeng Local Municipality	
Project Background:	As part of the third generation SLPs, Harmony implemented a project to promote talented individuals from previously disadvantaged youth groups in the local area, who have the ability but not the means, to achieve their true potential in sport school rugby and soccer. Harmony would like to continue this project into the fourth generation SLP due to its success during the previous SLP generations.				
	The primary purpose of the project is to: • Develop athletes from disadvantaged backgrounds and rural areas with the talent to excel • Allow identified individuals to reach their full potential and thereby assist the country with transformation • Involvement in sports and life skills will assist these talented sportsmen in developing into players of excellence • Allow for students to pursue sport career opportunities • Allow students to qualify for annual bursaries to further their studies				
Project Objectives:	Promoting talent from previously disadvantaged youth groups in the local area				
Project Components	The project will comprise the following components: • Technical and material support to project beneficiaries				
Total Financial Contribution	Budget year 1	Budget year 2	Budget year 3	Budget year 4	Budget year 5
R2 979 000	R523 000	R557 000	R594 000	R632 000	R673 000
Project Start Date:			Year 1 (2023)		
Provisional Project End Date:			Year 5 (2027)		
Target Group/ Beneficiaries:	Community members specifically youth	Beneficiaries	• Community members specifically youth • 50 youths annually		
		Number of Jobs Created	• Local SMME contractor/s will recruit and employ locally • Estimated number of jobs is 20		

PROCUREMENT AND SUPPLIER DEVELOPMENT PLAN

Procurement Progression Plan: Introduction

Harmony believes procurement is pivotal in transforming the South African economic landscape. This element of the SLP engages all of Harmony's supply chain tools and competence to sustainably create business opportunities to fuel the broader national development engine during and beyond the required five-year period. As a company, we believe in starting as close to operation as possible to sustain our mining communities.

This procurement and supplier plan aims to highlight Harmony's commitment to increasing the money spent on procuring goods and services from Black Economic Empowerment (BEE) entities in our local communities, where possible and financially viable, over five years. Also, the sustainability of SMME businesses entails more than just creating purchase opportunities. Likewise, it incorporates related elements of enterprise development in initiatives and community engagements on matters about local procurement.

Harmony has developed a preferential procurement plan to ensure it delivers beyond the SLP commitments. The Preferential Procurement plan is incorporated in Harmony's Procurement Policy, and Procedure and fully aligns with Harmony's preferential procurement strategic pillar to ensure sustainable mining communities whilst adhering to the Mining Charter 2018 targets. The following section provides an overview of the current status of the procurement targets as per the Mining Charter 2018 targets.

Current status of Harmony Mines against revised Mining Charter 2018 targets

Harmony is using the following questions to measure and guide its commitment to the Mining Charter 2018 targets:

Has the company given HDPs preferred supplier status?

Harmony has given HDPs preferred supplier status, as is evident in the following activities that were initiated specifically for this purpose:

- Harmony has allocated a resource dedicated to the management and maintenance of suppliers' BEE status and certification
- Harmony has adopted a custom-made preferential payment term that ensures HDP-owned SMMEs are paid on a fourteen-day payment term to ensure their financial sustainability and cash flow
- Harmony has decided to shorten most contract duration to increase the frequency of its tenders and allow more new entrants to partake in them. Harmony does not support "evergreen" contracts
- Harmony decided to advertise tenders on the Harmony website and Harmony procurement portal. This is done to allow BEE-compliant suppliers to access Harmony's procurement opportunities on an open and equal tender basis
- Targets have been set for minimum procurement spend on BEE-compliant suppliers for each of Harmony's operations in line with the current Mining Charter 2018 targets

- Harmony liaises with HDP enterprises through Harmony's Supplier Days initiative to identify issues and problems that small suppliers experience in dealing with Harmony and collectively find solutions for eliminating obstacles.

Has the company identified the current level of procurement from HDP companies in terms of capital goods, consumables and services?

- Harmony's procurement department will continuously be measured on BEE procurement spent performance and is being managed and monitored to the same extent as Harmony's other financial indicators. Currently the spent is being reported to the Harmony Board in the form of a dedicated Social and Ethics committee that monitors BEE procurement performance every quarter.
- The BEE spend is analysed in terms of goods and service expenditure and the report is supported by graphs that indicate the following two aspects:
 - BEE spend per mining right as a percentage of total discretionary spend;
 - BEE procurement spend per province.

Has the company indicated a commitment to a progression of procurement from HDP companies over a three- to five-year timeframe in terms of capital goods, consumables and services? Also to what extent has the commitment been implemented?

- According to the Mining Charter 2018 scorecard, Harmony has firm targets for BEE-entity spent. Targets are set for Goods and Service expenditure. Performance against these targets are measured and reported quarterly
- Baseline procurement spend on Capital Goods, Consumables and services (as per Mining Charter 2018) are contained in Form T (Summary) in Table 40.

Table 40: Form T (Summary) Procurement BEE spend FY21/22

	OVERALL TOTAL SPEND	TOTAL SPEND 2021/2	TOTAL DISCRETIONAR Y EXPENDITURE	ANNUAL HDP/BEE SPEND	PERCENTAGE HDP/BEE SPEND OF TOTAL
Capital goods		R336 512 793		R12 943 141	36%
Services		R378 681 025		R34 996 916	29%
Overall total spend	R740 213 798		R715 193 819		

As per the Mining Charter 2018 requirements, Harmony Group commits to the procurement and supplier targets below in Table 41. The procurement and supplier targets for **Target** are depicted in Table 42 in line with Mining Charter 2018 requirements.

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Table 41: Procurement targets for Group (2023 – 2027)

	MINING CHARTER 2018 TARGETS	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
MINING GOODS						
70%	21% HDP-owned and controlled company	21%	21%	21%	21%	21%
	5% Women-owned and controlled company or youth-owned and controlled company	5.00%	5.00%	5.00%	5.00%	5.00%
	44% BEE-compliant company	44.00%	44.00%	44.00%	44.00%	44.00%
MINING SERVICES						
80%	50% HDP-owned and controlled company	50.00%	50.00%	50.00%	50.00%	50.00%
	15% Women-owned and controlled company	15.00%	15.00%	15.00%	15.00%	15.00%
	5% Youth-owned and controlled company	5.00%	5.00%	5.00%	5.00%	5.00%
	10% BEE compliant company	10.00%	10.00%	10.00%	10.00%	10.00%

Table 42: Procurement targets for Target (2023 – 2027)

	MINING CHARTER 2018 TARGETS	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
MINING GOODS						
70%	21% HDP-owned and controlled company	21%	21%	21%	21%	21%
	5% Women-owned and controlled company or youth-owned and controlled company	5.00%	5.00%	5.00%	5.00%	5.00%
	44% BEE-compliant company	44.00%	44.00%	44.00%	44.00%	44.00%
MINING SERVICES						
80%	50% HDP-owned and controlled company	50.00%	50.00%	50.00%	50.00%	50.00%
	15% Women-owned and controlled company	15.00%	15.00%	15.00%	15.00%	15.00%
	5% Youth-owned and controlled company	5.00%	5.00%	5.00%	5.00%	5.00%
	10% BEE compliant company	10.00%	10.00%	10.00%	10.00%	10.00%



MENTORING OF EMPOWERMENT GROUPS (ED AND SMME SUPPORT)

Harmony takes its Enterprise and Supplier Development (ESD) obligation seriously. The Development will collaborate closely with Supply Chain to ensure increased local HDP and BEE spend throughout Harmony's South African operations. ESD continues to have input into the internal strategic committees (i.e. Bids Specifications Committee, Bids Evaluations Committee, Procurement Awards Committee, Harmony Tender Committee and the Vendor Committee). Also, the ESD ensures that the transformation agenda is understood in all those committees when decisions are taken.

ESD within Harmony is responsible for identifying, developing and mentoring the small and medium enterprises located within Harmony's mine host communities. This is done through the regional enterprise and supplier development programmes. The role includes influencing procurement transformation targets and commodity strategies, further supporting transformation projects across the Group.

ESD Framework

The Board approved the ESD Framework in 2019. The framework focuses on two areas, Enterprise and Supplier Development and is outlined as follows:

1. Enterprise development focuses on potential suppliers mainly but not exclusively drawn from local communities where Harmony operates
2. Supplier development focuses on affording procurement opportunities to enterprises graduating from incubation specifically and other qualifying designated SMMEs

Figure 6 below outlines Harmony's ESD Framework.

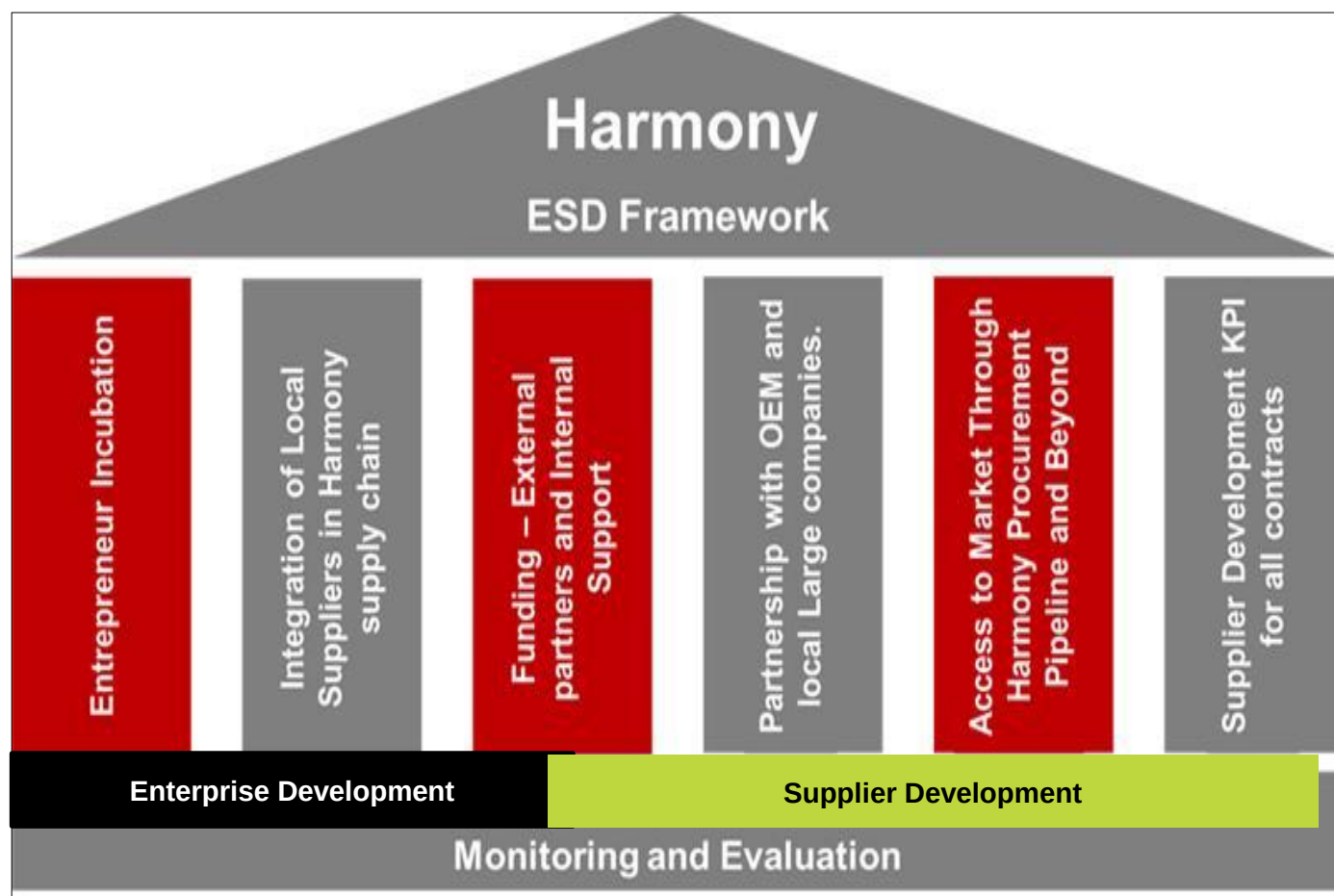


Figure 6: Harmony ESD framework

The main pillars of the ESD Framework shown in the figure above include the following:

1. Entrepreneur incubation

Systemic programme to support and nurture SMMEs leading to full participation as Harmony suppliers. It is also used as a lever to promote local community development and upliftment through:

- The delivery of various training and workshop programmes
- The provision of a mentorship programme addresses business gaps relating to systems and processes
- Provision of commercial leases at marginal rental rates

2. The ESD process integrates local prospective enterprises in the Harmony supply chain

3. Funding

Harmony Leano Fund facilitates the financing of emerging local businesses to enable growth and sustainability. The main objective is to fund businesses promoting job creation, poverty alleviation and community empowerment. Furthermore, ESD extends the funding net more expansive than the current Harmony funding instruments to assist SMME development and support and leverage on government and private sector funding institutions

4. Partnership with Original Equipment Manufacturers (OEMs)

Proactively identifying OEMs that have programmes to assist with developing BEE companies, focusing on local community empowerment and upliftment

5. Access to market

Expand BEE supplier's market access beyond Harmony using existing channels

6. Supplier Development Key Performance Indicators (KPIs) / Programme

The following are the key objectives of the Supplier Development Programme:

- a. **Economic Transformation:** to increase higher levels of procurement participation from black-owned and designated groups, including black woman ownership and youth-owned vendors/suppliers; through opening up the supply chain to the local Black-owned businesses (entrepreneurs) to diversify the suppliers of specific commodities
- b. **Entrepreneurial/Business Development:** through various mechanisms to ensure they are sustainable
- c. **To enhance the operational efficiency of the supplier through:**
 - i. Improved quality of products
 - ii. Assist local suppliers in expanding production capacity (existing and potential)
 - iii. Assist suppliers in reducing input costs
 - iv. Increase the scope of the contract.
- d. **Establish and build long-term, effective supplier partnerships**

Figure 7 outlines the steps of a supplier development programme. The steps are as follows: Planning; Implementation; Measurement; Improvement; and Recognition and Award and are discussed in the figure below.

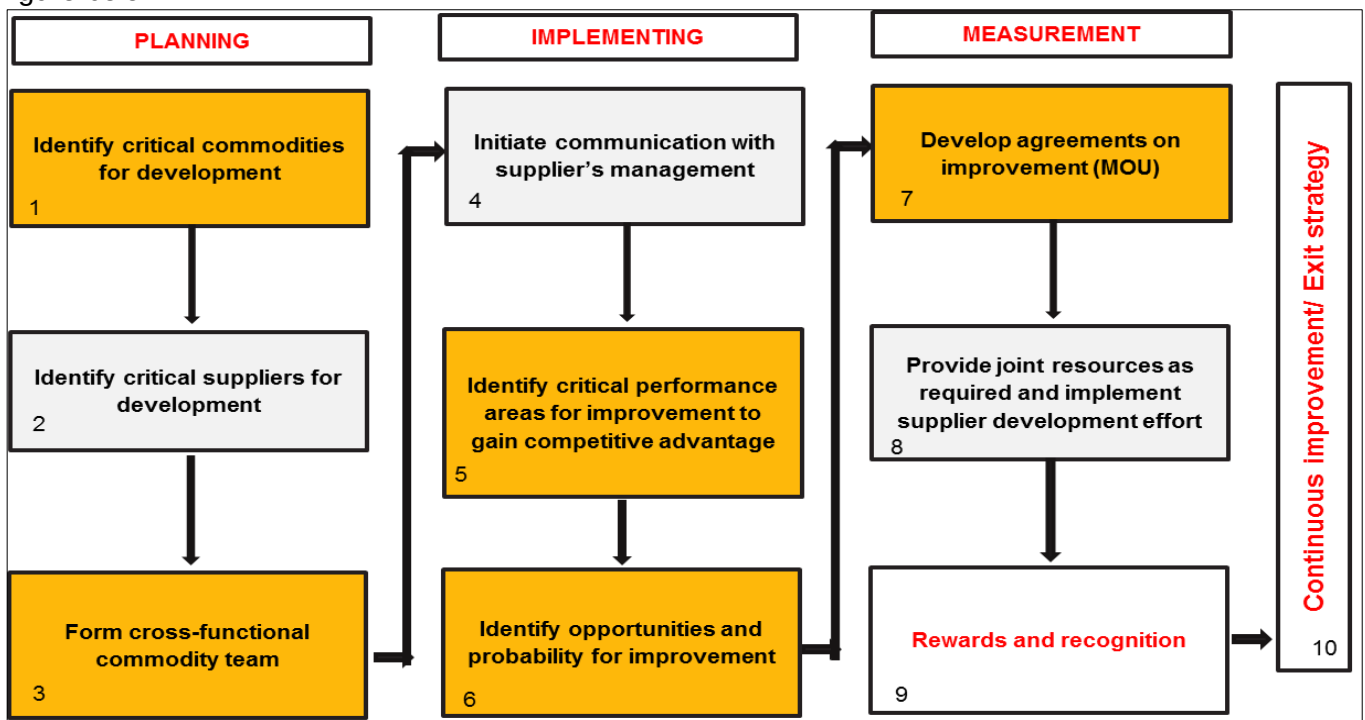


Figure 7: Steps of the supplier development programme

Business Development Centres (BDCs)

Harmony wants to be acknowledged as a socially responsible organisation that cares for the communities where it operates. The BDCs aim to make Harmony more accessible for local black-owned companies. The BDCs contribute to developing a sustainable supplier base to Harmony, through

capacity building of emerging local SMMEs with a focus on youth and women-owned businesses. It is through the BDCs that the ESD framework is delivered, as per Figure 6.

The BDCs are one-stop business facilities that provide a friendly environment through which the local existing and emerging small entrepreneurs can access information about procurement opportunities in Harmony. As the information hubs, the BDCs assist local SMMEs and guide them through multiple services offered. Services provided are as follows:

- Keeping a database of local HDP skills
- Conducts the ESD Gap Analysis
- Conducts the pre-technical assessments
- Matching opportunities with available skills
- Alert suppliers and extend invitations to site briefings
- Guide with tender and vendor application processes
- Business incubation programmes
- Facilitate the management of Harmony commercial properties (workshops, canteens etc.)
- Facilitate funding applications through the Harmony Leano
- Facilitate partnerships with existing suppliers, where opportunities arise, in collaboration with supply chain
- Support with office facilities such as internet, printing, boardrooms, meeting rooms
- Provide mentorship and training

Location of the Business Development Centers (BDC)

Harmony has opened three BDCs in our operating regions to support the ESD Framework. The business development centres are positioned to be close to Harmony's main activity areas and situated central to the geographical area it serves. The centres are easily accessible to the public and are located in the following areas:

- Welkom Arm1 business centre
- Masilonyane satellite office
- Soweto (Region D, Municipal Building)
- Matlosana business centre
- Moghaka Local Municipality (Fezile Dabi District municipality with five wards in Rammulutsi Area). The community is assisted through the Matlosana business centre
- Kalgold satellite office
- The Merafong community is assisted through the Khutsong Business centre in partnership with the local municipality
- Maponya 911 that was supported through the preferential procurement strategy to provide emergency underground services to the Doornkop operation

Stakeholders

Harmony establishes the BDC, whereas strategic partners are sought for collaboration. Below is an ecosystem of developmental institutions as stakeholders and not limited to such:

- Local municipalities and local communities;
- DMRE;
- Department of Small Business development;

- Implementing Agents;
- Small Enterprise Development Agency (SEDA);
- Small Enterprise Finance Agency (SEFA);
- National Youth Development Agency (NYDA);
- National Empowerment Fund (NEF);
- Industrial Development Corporation (IDC);
- Department of Trade and Industry (DTI);
- Corporate Financial Institutions;
- Other mining houses operating in the same areas as Harmony; and
- Chamber of Mines.

Financial Provision

Table 43 provides the financial provision for Supplier and Enterprise Development for the SLP period 2023-2027.

Table 43: Financial provision for Supplier and Enterprise Development (2023 – 2027)

INITIATIVE	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	TOTAL
ESD Financial provision includes: Post Incubation, Training and Support Maintenance, Renovations and Equipment Support for BDC's						
ESD Financial Provision	R658 000	R658 000	R658 000	R658 000	R658 000	R3 288 000

HOUSING AND LIVING CONDITIONS

Submission of a housing and living conditions plan for mining licences

Section 2.6 of Mining Charter 2018 and section 9 of the Implementation Guidelines require mining rights holders to develop and implement a Housing and Living Conditions Plan. This aims to enhance and expedite transformation in terms of housing and living conditions, ultimately addressing the advancement of the social and economic welfare of all South Africans whilst ensuring economic growth and socio-economic development.

The Mining Charter 2018 denotes the principles underpinning both housing and living conditions and requires that mining right holders must comply with the Housing and Living Conditions Standard, by ensuring maintenance of single units, family units and other arrangements following agreements with labour. Pending the finalisation of the Reviewed Housing and Living Conditions Standard, 2019 Harmony confirms its commitment and endeavours to implement the Standard. However, the Standard remains to be finalised in place of the industry's commentary relating to the Draft as gazetted on 20 March 2019. To this effect, the outline in the section to follow is in line with the Mining Charter 2018 and its implementation guidelines. Harmony acknowledges and commits that the following section on Housing and Living Conditions would require revision and amendment once the Standard has been finalised and adopted.

Municipality strategy to address housing

The National Government Strategy to provide decent housing for all revolves around the strategy to develop sustainable human settlements, which includes housing, business, social amenities and schools in a planned and social cohesive manner. This strategy filters down to the Provincial and Municipal levels where the actual execution of this strategy occurs. To support this strategy, Harmony makes available suitable land where feasible and, in some instances, co-developed human settlements with private sector developers.

Strategy and measures to address housing and living conditions

The Group accommodation policy and strategy guide all Harmony Operations, and the strategy is as follows:

- Our strategy is to provide decent accommodation and living conditions options to our employees by giving a choice of options in residences Single Accommodation Complex (SAC), rentals, mine houses, family units and a home ownership option; and
- Furthermore, we assist local economies, SMMEs, schools, organisations and individuals in our communities by providing premises at nominal rentals

This Operation is aligned with the Harmony Group Housing and Accommodation Policy and Strategy and commits to improving the living conditions of its employees. The housing strategy is outlined below.

Housing strategy

Harmony recognises the human dignity of all employees and acknowledges the family structure as the nucleus of a balanced society. To further this view, Harmony provides its employees with a variety of accommodation options and a housing subsidy in a form of a Living out Allowance.

- Through the encouragement of home ownership by, selling houses and serviced stands on proclaimed land, the facilitation of financial opportunities and the possible incorporation of some mine villages, the mine will enable employees to become the owners of the houses in which they reside. This will be done in consultation and cooperation with unions and associations, appropriate regional authorities, municipalities and the legislation (MPRDA and Spatial Planning and Land Use Management Act (Act 16 of 2013) (SPLUMA)) that guides these activities.

Current status of available housing options for employees

“Human dignity and privacy for mineworkers are the hallmarks to enhance productivity and expedite transformation in the mining industry in terms of housing and living conditions”.

Mining Charter

In this regard, Harmony mines have implemented measures to improve the standards of housing and living conditions for their employees by offering a variety of housing options to their employees. Table 44 below indicates the locality of where the Free-state operations' accommodation is.

Table 44: Location and numbers of the Free State's accommodation

Location	Number
Anglopark	10
Boiketong village	117
Harmony village	80
Jabulani village	108
Paballong village	157
Polokong village	140
St Helena village	97
Tikwe village	42
Tswelopelo village	54
Woolaways village	58

- Harmony maintains 863 company-owned residential units through a structured maintenance model
- The SAC(Hostel) residences house employees in single-room accommodation units
- Living out allowance is paid to 11, 013 employees that don't reside in mine accommodation

A total of corporate and central service employees (160) are residing in company accommodation and 679 employees are not residing in mine accommodation.

The mine has also established accommodation forums to consult with employee representatives in developing policies and plans relating to housing and living conditions. Elected SAC (Hostel) Residents' Committees with full-time members representing the employees' interests in the management of the residences have been seconded.

New home ownership model

The mine promotes home ownership by:

- In order to assist employees in accessing affordable housing, the existing mine houses in proclaimed areas are sold to employees at discounted rates.
- Employees not residing in company accommodation that has purchased either company accommodation/third-party accommodation are receiving an increased home owners allowance and employees that are only occupying third party accommodation through a rental option are receiving the normal living out allowance.
- Harmony also facilitates the home ownership programme through an agreement with IEMAS – a credit Company- for pension-backed loan in order to further assist employees with housing-related funding; this facilitation is also pursued with various South African Banking Institutions.

- Home Ownership Concessions to Harmony employees involves non-taxable discounts, which includes:
 - Refurbishment discount (market-related renovation discount as per the sqm of a unit)
 - Years of Service (5% for every five years of employment with a maximum discounted rate of 40%)
 - 10% Memorandum of Understanding (MoU) discount (Agreement between the Company and Organized Labour)
 - 10% Voluntary Severance Package (VSP)/Retrenchment Discount (when applicable).

The homeownership model was aligned and includes all company houses within the Harmony Operations in the municipal (proclaimed) areas, Operations comprise.

- Moab Khotsoeng operations
- Gauteng Operations
- Mponeng Operations
- Free State Operations

Funding credit facilities information – IEMAS

Table 45 displays the credit facilities information, outlining the provinces, number of employees and loan amount for 2020 and 2021, respectively.

Table 45: Funding credit facilities information – IEMAS

PROVINCE PROPERTY PURCHASED	INFORMATION DATE	NO. OF EMPLOYEES	LOAN AMOUNT (R)
2020			
Gauteng	05 October 2020	535	R70 108 220.17
Free State	05 October 2020	348	R46 194 642.05
KwaZulu-Natal	05 October 2020	2	R468 521.00
Total		885	R116 771 348.11
2021			
Gauteng	23 February 2021	573	R76 601 714.86
Free State	23 February 2021	388	R50 343 112.32
KwaZulu-Natal	23 February 2021	2	R456 428.93
Total		963	R127 401 256.11

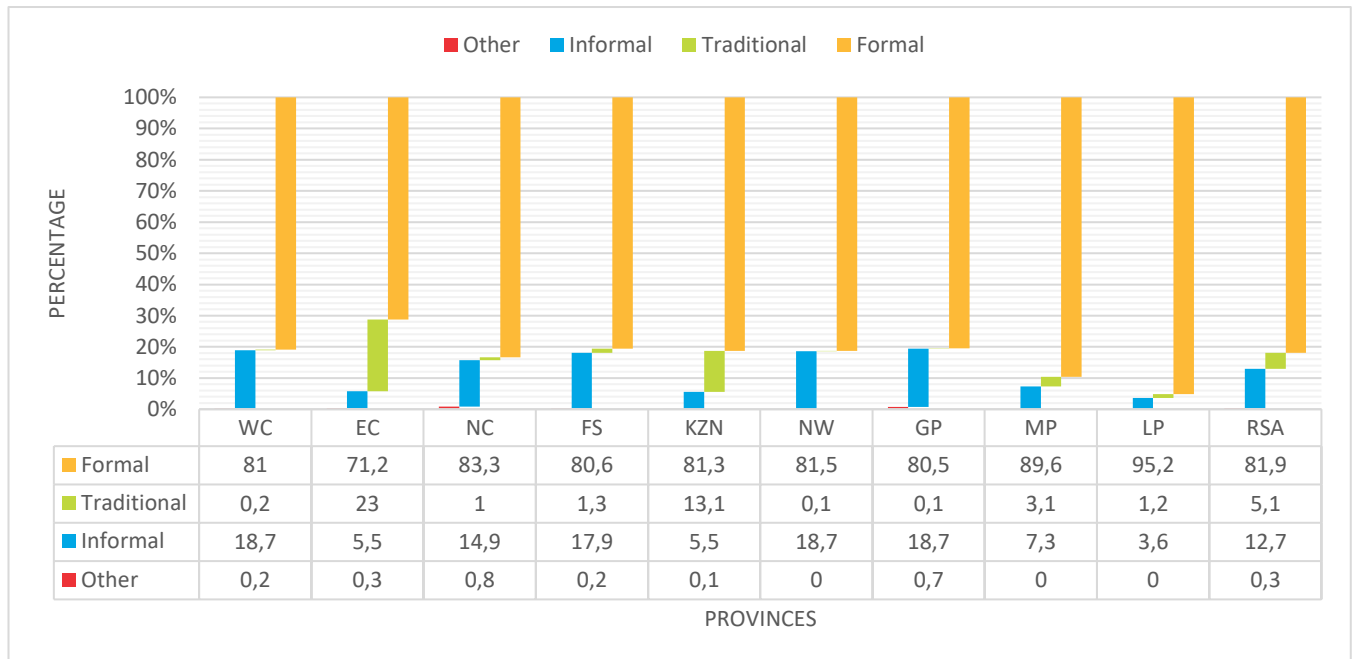
Current status of houses within South Africa, per provinces

Figure 8 outlines the percentage of people that live in formal, informal and traditional dwellings per province.

The graph shows that slightly more than eight-tenths (81,9%) of South African households lived in formal dwellings in 2019, followed by 12,7% in informal dwellings, and 5,1% in traditional dwellings. Households that lived in formal dwellings were most common in Limpopo (95,2%) and Mpumalanga (89,6%).

Approximately one-fifth of households lived in informal dwellings in Gauteng and Western Cape

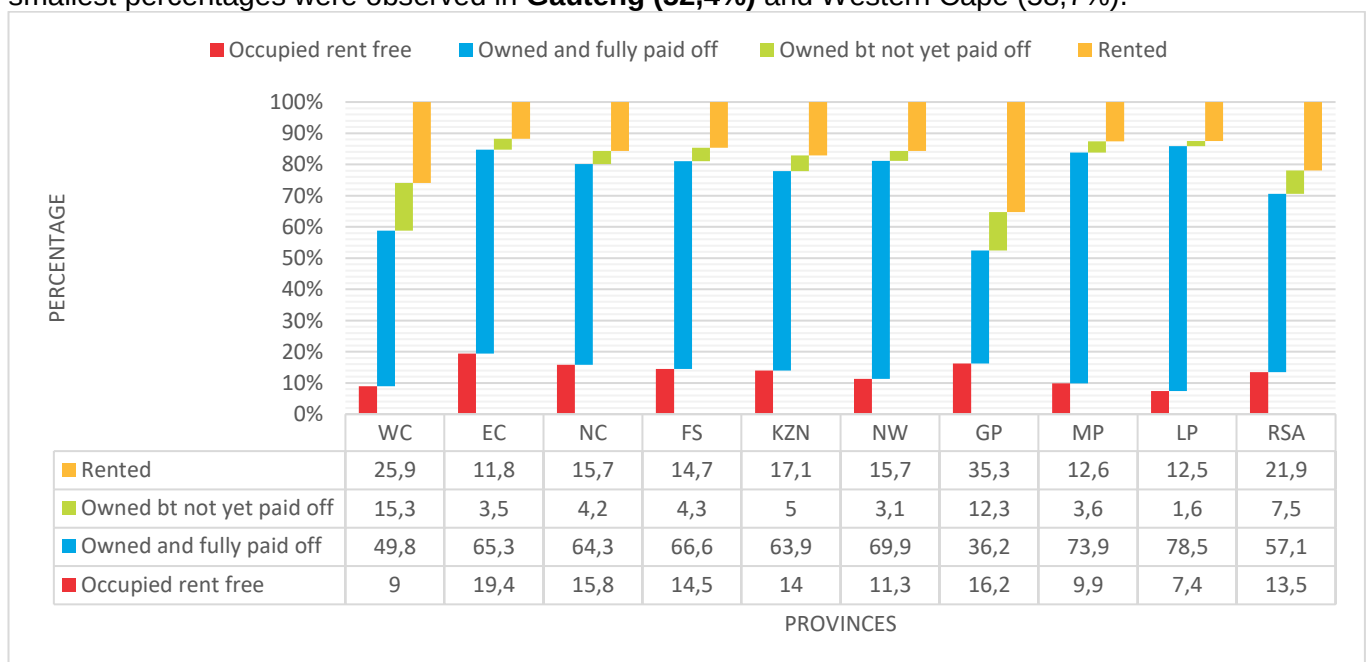
(both **18,7%**) and North-West (18,4%). Traditional dwellings were most common in Eastern Cape (23,0%) and KwaZulu-Natal (13,1%).



(Source: Housing and Living Conditions Survey, 2019)

Figure 8: Percentage of households that lived in formal, informal and traditional dwellings by province, 2019

Figure 9 displays that households that lived in rented dwellings were most common in **Gauteng (35,3%)** and Western Cape (25,9%) and least common in Eastern Cape (11,8%) and Limpopo (12,5%). By comparison, the most significant percentage of households that lived in dwellings that were either paid off or being occupied rent-free were found in Limpopo (85,9%) and Eastern Cape (84,7%), while the smallest percentages were observed in **Gauteng (52,4%)** and Western Cape (58,7%).



(Source: Housing and Living Conditions Survey, 2019)

Figure 9: Percentage of ownership status, 2019

Workforce preferred requirements for housing and living conditions

Hostel upgrade

Mining Charter 2010 - 2014 requires that all hostel residences be converted and maintained to single-room accommodation. All the operational Harmony mines' residences comply with this condition. The Operations remain compliant with one employee per room. Hostel Residents' Committees, with full-time members representing the interests of the employees in the management of the residences, have been elected. Table 46 presents the current housing support figures.

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Table 46: Housing support

	TSHEPONG / PHAKISA MINE		TARGET MINE		MASIMONG MINE		UNISEL MINE		JOEL MINE		SERVICES AND WORKSHOPS		TOTAL NUMBER OF EMPLOYEES	
	ACTUAL	PLAN 2021	ACTUAL	PLAN 2021	ACTUAL	PLAN 2021	ACTUAL	PLAN 2021	ACTUAL	PLAN 2021	ACTUAL	PLAN 2021	ACTUAL	PLAN 2021
Number of Employees Accommodated in Single Units	1347	1341	0	0	761	752	0	0	474	472			3033	2998
Number of Employees accommodated in Family Units	392	398	1510	1511	157	158	0	0	164	165	114	116	2493	2506
Number of Employees Receiving Rental Subsidy	392	392	1510	1510	156	156	0	0	164	164	114	114	2492	2492
Number of Employees Receiving Home Ownership Subsidy	143	143	134	134	45	45	0	0	37	37	0	0	381	381
Number of employees Receiving Living Out Allowance	6314	6336	1467	1470	1584	1592	442	451	1294	1296	854	856	13371	13419
Total	8588	8610	4621	4625	2703	2703	442	451	2133	2134	1082	1086	21770	21796



Proclamation of Mine Villages

Background Information

Harmony still owns in excess of 3 200 mine houses situated in un-proclaimed areas that are connected to mine bulk services supply. Harmony is working with provincial Human Settlement Department, Housing Development agency and relevant municipalities assessing possibilities of proclamation of some of these villages. Harmony recognises that, both the MPRDA and SPLUMA legislation must be complied with, and to this end, an IDP and Spatial Development Framework must first be completed and approved by the relevant municipality.

Multi-Disciplinary Task Team

In line with Harmony's continuation to engage government departments for some probable long-term solutions on land and legacy properties. The Multi-Disciplinary Task Team was established by both the Minister of Mineral Resources and Energy and Harmony EXCO to facilitate and fast-track the process of land and property donation, inter alia, draft a blueprint for submission, approval and implementation thereof.

This Task Team comprises MLM, Matlosana municipality, Harmony and the DMRE. These task team interventions would further be applied in Gauteng and other relevant provinces. The team later identified the need to encompass the Department of Human Settlement, Water and Sanitation and the Housing Development Agency to align with some of the strategic goals and 'principles'.

Donation of Land to local municipalities

In the past Harmony donated land to local municipalities such as Rand West City Local Municipality and MLM. Harmony may consider this option in future through the above-mentioned joint Multi-Disciplinary Task Team with conditions that aren't only beneficial and favourable to the local communities but also ensures that such land donations do benefit its employees. This arrangement has been sanctioned and approved by the relevant municipalities. Actual progress and progressive plan for 2022 is depicted in Table 47

Table 47: Prefeasibility study on mine village's proclamation

AREA	ACTUAL PROGRESS	PROGRESSIVE PLAN 2024	REMARKS
Free State Operations	64%	100%	Encouraging progress — The Free State was prioritised given the decline of mining activities and its potential marginal state
North West	20%	95%	In progress
Gauteng	10%	100%	Certain villages (West Wits) in the Carletonville area will also be given priority.

Financial Provision – House and living Conditions

Table 48 includes the financial provision for housing and living conditions for the SLP period 2023 to 2027.

Table 48: Financial provision for Housing and living conditions (2023 – 2027)

FINANCIAL PROVISION - HOUSE AND LIVING CONDITIONS				
PROJECT	PLAN			TOTAL
	Year 1	Year 2	Year 3	
Proclamation of Mine Villages	R 334 000	R 334 000	R 334 000	R 1 002 000
Total Financial Provision	R 1 002 000			

HEALTH AND NUTRITION

Measures to address nutrition: Nutrition Management

Approximately **8069** of Harmony's employees are housed in **9** hostels. Meals are provided to resident employees, widows and visiting wives at some hostels.

Dietary analysis of the current menu indicates that it adequately caters for the energy and nutritional requirements of mineworkers, based on Dietary Reference Intake (DRI) guidelines as defined by the Institute of Medicine, Food and Nutrition Board, USA and studies done by the Chamber of Mines Research Organisation (COMRO, 1991) into the nutritional requirements for underground mine workers performing moderate to hard work.

- DRI is the collective name that refers to a set of at least four nutrient-based reference values
- The estimated average requirement (EAR) nutrient intake is the value that is estimated to meet the nutrient requirements in 50% of the individuals in a given life-stage and gender group
- The recommended daily allowance (RDA) is the daily dietary intake level sufficient to meet the nutrient requirements of 97 to 98% of individuals in a given life stage and gender group.
- Adequate intake (AI), in the case where the scientific evidence is inadequate to set the EAR, is used instead of an RDA
- Tolerable upper intake (TUI) is the highest level of nutrient intake that is considered unlikely to pose any risk of adverse health effects to almost all individuals in the general population
- Acceptable macronutrient distribution range (AMDR) is a range of intake for a particular energy source associated with reduced risk of chronic disease while providing adequate intakes of essential nutrients.

Additional Information

Where South African information on industrial feeding is unavailable, international best practices are used.

Energy Requirement

The diet plan is drawn up using the COMRO reference report 91/11 as a basis to establish the energy requirement of workers. R146, 2016; MHSA Act 29 of 1998.

Macro-nutrient requirement

The macro-nutrient requirements are established using DRI's, a collective term that refers to a set of at least four nutrient-based values. This represents a shift from "avoiding deficiency states" as determined by clinical manifestation and status to "*maximising health and promoting quality of life*".

This is part of the report on DRI's for energy, carbohydrate, fibre, fat, fatty acids, cholesterol, protein, and amino acids (2002) by the Food and Nutrition Board of the United States Nutrition Board of the Institute of Medicine, National Academy of Sciences, Washington, USA:

- AMDR.
- An AMDR is defined as a range of intake for a particular energy source associated with reduced risk of chronic disease while providing adequate information of essential nutrients.
- The acceptable ranges are as follows:
 - Carbohydrate 45-65%
 - Protein 10-35%
 - Fat 20-35%

Micro-Nutrient Requirement

The DRI is used as a reference for all micro-nutrients except Vitamin C, where a South African reference exists. There are three micro-nutrients which are directly influenced by the industry.

- Vitamin C:
It is required for normal body temperature regulation and assists with the body's ability to adjust to underground environmental conditions. The recommendation for the mining industry is 250mg per person per day.
- Vitamin A:
It is required for standard dark adaptation time. There are no industry-specific requirements, and the DRI is used as a reference. (900 micrograms per day)
- Vitamin D:
Vitamin D intake is affected, as the primary source of Vitamin D is from the photochemical action of ultraviolet sunlight on the 7-dehydroxycholesterol produced in the skin. Because of the limited exposure to sunlight, it is necessary to ensure adequate Vitamin D intake. It was, however, not possible to assess the menu content as the database is limited in its Vitamin D information. This is a problem with most of the databases used for nutritional analysis.

Vitamin enriched food products are considered when food only, does not meet with the requirements. Mageu is one of these foods products and is enriched with 200mg Vitamin C per 1000ml and 150mg Calcium per 1000ml.

Macro-nutrient as % energy:

- Carbohydrate 45 – 65% of total energy
- Protein 10 – 35% of total energy
- Fat 20 – 35% of total energy

Nutrition plan

The nutrition plan refers to the list of food groups incorporated in each meal instead of a menu, which lists specific dishes served at each meal. To ensure that balanced meals are served, the number of meals and the food groups to be served at each meal is considered (Refer to Table 49).

Number of meals

Although traditionally, only a pre-shift or breakfast and a post-shift or main meal were served in the hostel kitchens. Three meals are served to resident employees. Breakfast supplies approximately 25-30% of the daily nutritional requirement; main meal about 40-45%, and supper 20-25%.

South African food-based Dietary Guidelines (revised 2012)

- Enjoy a variety of foods.
- Be active!
- Make starchy foods part of most meals.
- Eat plenty of vegetables and fruit every day.
- Eat dry beans, split peas, lentils and soya regularly.
- Have milk, Amazi or yoghurt every day.
- Fish, chicken, lean meat or eggs can be eaten daily.
- Drink lots of clean, safe water.
- Use fats sparingly. Choose vegetable oils, rather than hard fats.
- Use sugar and foods and drinks high in sugar sparingly.
- Use salt and food high in salt sparingly.

Quality management system

Quarterly audits will be carried out in cooperation with the catering manager and registered dietician on the standard of facilities and hygiene, as well as an analysis of the menu in terms of compliance to nutritional guidelines for the mining industry (COMRO Report) and further guidelines as amended from time to time.

Table 49: The nutrition plan measures the following dimensions every quarter

MENU	MINIMUM GUIDELINE	SOURCE
Energy (kJ)	13 000kJ	DRI and R146, 2016 MHSA, Act 29 of 1998
Carbohydrate (g)	440g (57%)	AMDR
Protein (g)	135g (18%)	AMDR
Fat (g)	85g (25%)	AMDR
Vitamin C (mg)	250mg	SA Mining Guideline
Vitamin A (IU)	1 000IU	DRI
Calcium (mg)	1 000mg	DRI

Findings will be recorded to monitor the progress of this issue over time. To establish and maintain high standards in catering facilities, regular food services audits are conducted by mine officials, together with union or association representatives.

In order to ensure customer preference, meetings are held with worker representative structures with the aim of including their proposals in the menu. Records of these discussions are used to improve nutrition on an ongoing basis. Random customer satisfaction surveys are also carried out quarterly to determine service levels and identify problem areas.

Dietary plan

The diet plan (Table 50) is used as a guideline to establish meal frequency and portion sizes. (All portions are quoted in raw quantities)

HARMONY GOLD

Table 50: Dietary plan

WORK CATEGORY	MODERATE LIGHT WORK	MODERATE WORK	MODERATE HARD WORK	HARD WORK
ENERGY EXPENDITURE	12000KJ	13000KJ	14000KJ	15000KJ
Examples of workers	Electrician / Mine Overseer / Loco Crew	Equipping team / Team Leader / Stope Team / Miner Assistant / Cleaning team	Loader Driver / Winch Driver	Driller / Drill Assistant
Breakfast				
Cereal	90g	90g	90g	90g
Bread	220g	220g	220g	220g
Spread	20g	20g	20g	20g
Protein	60g	60g	120g	120g
Beverage	300ml	300ml	300ml	300ml
Main Meal				
Protein	180g	210g	270g	270g
Gravy / Soup	10g / 100ml	10g / 100ml	15g / 150ml	15g / 150ml
Starch	60g	90g	90g	90g
Maize meal	150g	150g	150g	150g
Vegetable 1	150g	150g	150g	150g
Vegetable 2	(green / yellow)	(green / yellow)	(green / yellow)	(green / yellow)
Fruit	100g	130g	130g	130g
Juice	250ml	250ml	250ml	250ml
Dessert				
Mageu	500ml	500ml	1000ml	1000ml
Supper				
Protein	60g	60g	120g	150g
Milk	250ml	250ml	250ml	250ml
Gravy / Soup	10g / 100ml	10g / 100ml	10g / 100ml	10g / 100ml
Maize meal	60g	90g	120g	120g
Bread			30g	60g
Vegetable	100g other	100g	100g	100g
Beverage	300ml	300ml	300ml	300ml

Menu

Table 51 provides the Daily Allowance (Meal plan) with all quantities quoted as raw or uncooked product portions. Table 52 presents the Approximate Nutritional Value of the Meal Plan and Table 53 includes the suggested, but not limited to, menu options.

Table 51: Menu

ITEM	SERVING
BREAKFAST	
Breakfast Cereal	90g
Bread	210 – 240g (6 slices)
Spread	25g
Protein	100g
Beverage Pack	300 ml (includes sugar and creamer)
Sugar	20g
Condiments	5g
MAIN MEAL	
A daily choice between beef and chicken and for five (5) days, a processed product is offered	
Protein	300g (beef 300g, Chicken 300g, processed products 200g)
Maise meal	120g
Starch	90g – a daily choice between Samp, Samp and Beans, rice or maise rice is offered
Vegetables	200g
Fruit	130g
Salad	60g (4 times per week)
Fruit Salad	150g (once per week instead of fruit)
Jelly & Custard	40g (once per week)
Mageu	500ml
Juice	200ml (once in 2 weeks)
Cold Drink	30g (Powdered drink)
Condiments	15g
Oil	10ml
SUPPER	
Protein	100g
Mild / Amazi	300ml (twice per week) A choice between Amazi or Yoghurt
Salad	40g (Four times per week)
Pap or Starch	40g
Condiments	5g

HARMONY GOLD

Table 52: Approximate Nutritional Value of the Meal Plan (* Includes enriched quantities)

Energy	kJ	14 700	
Protein	g	178	21%
Carbohydrate	g	446	51%
Fat	g	112	29%
Vitamin A	µg	960	
Vitamin C	mg	240	
Calcium*	mg	1 250	
Iron	mg	20	

Table 53: Suggested but not limited menu options

BREAKFAST	
Cereal	Mealie meal, Brown lambalazi ¹ , White lambalazi, Mabele
Protein	Boiled/ scrambled egg, Viennas, Pasta, Mince, Wors, Giblets, Chicken stew, Spaghetti bolognaise, Gizzards & necks, Meatballs, Ox tripe, Steak and onion stew / Amazi / yoghurt
Powdered drink	Assorted Flavours
MAIN MEAL	
Protein	- Chicken is the main protein served every day - A choice of beef and chicken stew is served as a second option different cooking methods should be applied – stewing; braising; grilling; frying. - Processed products: can be served as an alternative or third option and includes fish / tripe / mince / wors / pork chops
Porridge	Maize meal
Starch	Rice, Samp, Samp and beans, Beans, Mazebe ² mix
Vegetables	A variety of vegetable in season – use different cooking methods
Salad	Carrot, Beetroot, Coleslaw
Fruit	A variety in season
Mageu	Banana and cream flavour
DINNER	
Protein	Wors, Mince, ox liver, chicken stew, Beef stew, Bean soup, Ox tripe
Porridge	Maize meal
Diary	Amazi, Yoghurt

Note: Any additions to the lists mentioned above should go through proper consultation, and it should also be cost-effective. Items should be added in the correct group. (I.e., an item in the “protein group” cannot be substituted for an item in the “vegetable group”)

¹ Lambalzi –a traditional sour porridge

² Mazebe mix – mixed dried peas and beans





SECTION 4 OVERVIEW

This section details the entities and processes which have been set up at the operation to manage downscaling and retrenchment.



SECTION 4: MANAGEMENT AND DOWNSCALING AND RETRENCHMENT

In line with Regulation 46(d): Management and Downscaling and Retrenchment

PROCESS FOR THE MANAGEMENT OF DOWNSCALING AND RETRENCHMENT

As per the MPRDA, the process pertaining to the management of downscaling and retrenchment must include:

- The establishment of the Future Forum;
- Mechanisms to save jobs and avoid job losses and a decline in employment;
- Mechanisms to provide alternative solutions and procedures for creating job security where job losses cannot be avoided; and
- Mechanisms to ameliorate the social and economic impact on individuals, regions and economies where retrenchment or closure of the mine is certain.

This section of the SLP deals with the issues of downsizing mines from a Harmony perspective. The approach in this section applies to all mines at Harmony and is enforced by group policy and procedures, group agreements and undertakings, Chamber of Mines agreements, and government legislative frameworks. Harmony's approach to the management of downscaling is Harmony's twin growth strategy through greenfield and brownfield exploration and through project development which informs the approach.

Considering the Company's approach to the management of downscaling operations, it must be remembered that the Harmony of today was built up by acquiring mines from other mining houses.

By acquiring mines which other companies regarded as marginal or unprofitable and turning these mines around through diligent control of costs and focus on careful management of the assets, Harmony has been able to grow into the fifth largest gold mining producer globally, thereby creating many job opportunities which would otherwise have been lost to the South African economy.

In addition to the strategy of growth and job creation through acquisition, Harmony has several projects which will, in turn, be brought up to full production in the short and medium term. The growth projects are set out in more detail below.

From a holistic point of view, although some mines may be downscaled, new opportunities will come into production, thereby creating job opportunities for the South African economy within the wider group. It is the Company's intention to utilise these opportunities to absorb the excess labour that may result from unavoidable downscaling, as has been proven over the past five years.

Regrettably, gold mining is not as predictable as other businesses. The implications of the rand and gold price fluctuations, and the mining out of ore bodies, is the threat of job losses which is constant reality management, unions, government and communities have to face. This, in turn, necessitates planning to alleviate the effects of downscaling as far as possible. Harmony has embarked on the steps as set out below, in accordance with the requirements of the MPRDA, the Mining Charter, as well as the Labour Relations Act, 1995 (Act No 66 of 1995) (LRA), notably sections 189 and 189A. This does not preclude other relevant legislation, as well as extensive collective agreements with organised labour, and the desire to be a responsible corporate citizen.

Establishment of a Future Forum at Harmony Target Operation

The Harmony Target operation's Future Forum is operational, comprising representatives from mine management and unions or association branch committee members. This forum was set up to deal with productivity improvement issues, minimising job losses and limiting the impact of downscaling and retrenchments where these cannot be avoided. Mindful that the forums experience challenges of inefficiencies and continuity due to continuous change of representation, Harmony continues to conduct annual audits on the functioning of the Future Forums. Steps are always taken to address these challenges, for example, reviving the forums and improving their efficiencies.

Members of Future Forums are continuously inducted or capacitated on the social plan, the Department of Labour's national social plan policy, Harmony's social plan framework, the SLP regulation and their functions.

The aims and objectives of the forum are as follows:

- Implementing early warning systems regarding changes to the existing life of mine
- Discussing strategic plans to avoid or minimise retrenchments and job losses and to promote sustainability and growth within the operation
- Analysing monthly or quarterly performance by assessing operating and management reports
- Developing early warning systems for the mine
- Timeously analysing problems or operational issues

- Assisting in developing turnaround and or redeployment or other appropriate strategies to avoid or minimise job losses while promoting business competitiveness and viability
- Assisting in developing measures to avoid or minimise job losses and retrenchments – taking account of the viability and operational requirements of each mine and making recommendations to the specific shaft management team
- Coordinating and implementing approved solutions in a planned manner

The forum is consensus-driven, and it operates in a completely transparent environment. Parties to the forum work together to improve the mine's performance and job security. The culture and approach of the forums is one of joint problem solving with management and organised labour 'on the same side in attempting to prolong the life of the mine and achieve the best possible return for all stakeholders from the ore body. All necessary information is placed at the disposal of the forums to ensure they make fully informed decisions. They do not deal with collective bargaining issues, however, as these tend to be adversarial in nature.

Functions of Harmony Target's Future Forum as required by the law

- *To notify the Minister of Mineral Resources on any matter concerning the social and economic impacts of the mining operation throughout the life of the mine within the operation, especially when major retrenchments are anticipated.*
- *Liaising with the social plan directorate of the Department of Mineral Resources and Energy (DMRE) and other stakeholders concerning social plan issues.*
- *Ensuring that appropriate early warning systems are established in advance and the results made available to the members of Future Forums on a regular monthly basis.*
- *Advising the mine on any matter concerning the social and economic impacts of the mining operation, specifically the setting and achievement of objectives and priorities in this regard.*
- *Using the appropriate methods of monitoring compliance to achieve such objectives and priorities.*
- *Conducting audits, studies or surveys on the needs of all employees that will indicate the skills they require for training.*
- *Creating awareness among employees of the contents of the social plan within each mine.*
- *Identifying suitable service providers for training per the employees' needs analysis.*
- *After due internal processes, drawing the attention of the board to any relevant social and economic mining-related matter which requires attention.*
- *The board may refer matters for consideration by the forum.*

Table 54: Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	TASK / ACTION	TIME
HR Leaders	- To promote ongoing discussion with Future Forum members - To continually identify possible challenges and solutions with employment and the operation's productivity - To identify and assist in the development of production and employment turn-around strategies	Monthly/quarterly or as needed in response to the situation
HR Leaders	Consultations with the relevant unions, worker representatives and employees likely to be affected by the retrenchment	As per legislation
HR Leaders	Identify turn-around strategies and alternatives to avoid or minimize retrenchments	As per legislation

Mechanisms to avoid job losses and a decline in employment

In terms of Section 189(2) of the LRA, the company is required to consult with employees concerning contemplated retrenchment. The parties must attempt to reach a consensus on appropriate measures to avoid the dismissals, minimise the number of dismissals, change the timing of the dismissals, and mitigate the adverse effects.

The Harmony Target Operation's Future Forum structures engage on matters broader than the above legislative requirement, i.e. whenever structural workplace change is envisaged, as well as on matters contained in the Social and Labour Plan, its implementation and the need to monitor progress. The Future Forum is an essential structure for identifying opportunities that may exist to promote employment sustainability. Presentations have been made for sharing these with our employees and organised labour.

The company is acutely aware of its obligation to comply with the requirements of Section 52 of the MPRDA by way of notifying the Minerals and Mining Development Board where retrenchment of 500 employees or 10% of the labour force (whichever is the lesser) is contemplated in 12 months, or where prevailing economic conditions cause the profit to revenue ratio of the mine to be less than six% for a continuous period of six months. It must also comply with any ministerial directive arising from such a process.

Alternative solutions and procedures for creating job security where job losses cannot be avoided

As discussed, the primary method by which Harmony Target Operation intends to avoid retrenchments is by providing other employment opportunities. The recommendations will include the following measures:

- Exploring synergies and trade-offs between mines
- Mining of low-grade areas
- Reduction of costs
- Exploration of new technology in mining for longer-term sustainable operations
- Conducting strategic assessment and setting performance goals to reduce high costs
- Growth and acquisition objectives of Harmony as a whole
- Redeployment within the group
- Managing/cessation/stopping recruitment of new employees
- Voluntary/compulsory early retirement
- Voluntary severance packages
- Termination of services of temporary and contract labour
- Employment in other companies outside the Company
- Adjustment to working arrangements
- Portable skills training

However, if it becomes impossible to avoid downscaling, despite the efforts of the management and the work of the Future Forums, the Future Forum will be tasked with finding alternatives to retrenchment and the loss of jobs. This process has been well established in South African labour relations practices and is comprehensively set out in sections 189 and 189A of the LRA. The provisions of the Act allow the representatives of affected employees the opportunity to examine the reasons for the proposed downscaling, to present and consider alternatives to job losses, and propose measures to mitigate the effects of the loss of jobs on employees and communities.

The Future Forum is tasked with ensuring that retrenchments are avoided wherever possible but where they cannot be avoided, it is the Future Forum's task to ensure that the retrenchments take place in an orderly manner with every effort made to reduce the negative consequences on employees and affected communities.

A range of possible courses of action to achieve these objectives, which the company plans to implement at Harmony Target Operation should downscaling and retrenchments become unavoidable, is set out below. The detailed implementation of these alternatives to retrenchment will be discussed and agreed upon as and when required in terms of the provisions of the LRA, other relevant legislation, guidelines and collective agreements.

Mechanisms to Ameliorate the Social and Economic Impact of the Downscaling and Closure

Harmony will help impacted employees find other employment or sustainable livelihoods as much as it can. This will be done when workers are not yet of retirement age and cannot be integrated or redeployed to other operations. Voluntary separation is one of the avoidance measures. As far as possible, the HRD Programmes will be used to retrain the personnel and prepare them for other employment following the mine's closure. Furthermore, Harmony provides portable skills training to prepare affected employees for employment in other sectors of the economy and self-employment.

Table 55: Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTION	TIMING
Future Forum	Regular meetings with the Future Forum to explore productivity, sustainability, and any scenarios that may affect and improve productivity. Meeting minutes and records are to be kept.	Ongoing
HR Leaders	In the event of unanticipated downscaling and retrenchments, conduct a sensitive dialogue with unions and relevant government ministries.	Commence ASAP and Ongoing
HR Leaders	Consult with both mine-dependent suppliers thoroughly and respectfully.	In the case of restructuring or downscaling
HR Leaders	Building capacity to help the affected employees through portable skills training.	Ongoing
HR Leaders	Provision of portable skills, primarily not connected to mining, to workers facing layoffs Through portable skills training, employees get the opportunity to manage individual careers and skills gaps.	Ongoing

Voluntary or compulsory early retirement

Preference may be given to retaining younger employees and allowing those closer to retirement to terminate their employment. This principle will have to be considered and accepted by employee representatives in the context of the consultations envisaged by sections 189 and 189A of the LRA, which the company and employee representatives will follow.

Voluntary severance packages

In circumstances where extensive job losses are being contemplated, there will be employees who, due to their skills, experience and/or financial circumstances, are less dependent on Harmony for employment than others. These employees will be allowed to voluntarily terminate their services.

Stopping new recruitment

When employees may lose their jobs, it is not feasible to continue recruiting new staff. However, there may be special skills which are required or particular shortages which cannot be readily filled through training and development. If it is not possible to fill the needs of the operations, such selective and restricted recruitment may continue but will be closely monitored and conducted in a completely transparent way.

Termination of services of temporary and contracted labour

Harmony has an agreement with the National Union of Mineworkers (NUM) that restricts the employment of contractors and temporary employees to specific circumstances. Replacing these contractors with our own employees that have become redundant is a consideration.

Employment in other companies outside of Harmony

The company will make use of the services of TEBA to attempt to place excess employees elsewhere in the industry as well as contact other employers in mining and other large-scale industries to place redundant employees.

Adjustments to working arrangements

This alternative includes arrangements such as working part-time, making adjustments to shift schedules, reductions in the length of the working week, extended home stay periods and temporary lay-offs. It is a source of potential job loss reduction which has, regrettably, not met with much acceptance by organised labour in South Africa but is used extensively in other countries with some success. Harmony plans to pursue this type of alternative with organised labour should job reductions become unavoidable. Any proposal will only be implemented with the agreement of the employee representatives concerned.

Reduction of overtime

The use of extensive overtime is an undesirable work practice. Overtime is expensive and, where it occurs on a large scale, reduces job opportunities. The company constantly ensures that all overtime is strictly controlled and that only unavoidable overtime is worked. In circumstances where job losses are being contemplated, overtime will receive particularly close attention with a view to restricting it so that only absolutely necessary and unavoidable overtime is worked.

Working on off days

Employees could be approached from time to time to agree to work additional shifts on off Saturdays and public holidays in order to improve productivity and generate additional revenue.

Section 189 and 189a of the LRA

Harmony Target Operation will engage in formal Section 189 and 189A consultations with recognised employee representatives as soon as retrenchments are contemplated.

Section 52 of the MPRDA

The company and its mines will provide the DMRE with a letter for submission to the Minerals and Mining Development Board, as required by this section.

National social plan guidelines

The consultation process as set out in the National Social Plan guidelines will be followed, whereby employees' representatives and the Department of Labour are notified of and consulted on the contemplated downscaling.

Moratorium recruitment of new employees

Harmony Target Operation will discontinue the recruitment of new employees while attempting to fill vacant positions with its existing complement of employees who are suitably qualified, skilled and experienced, provided that Harmony will be entitled to recruit employees with specialist skills and where a shortage of labour has occurred in a particular category.

Portable skills training

Portable skills training is one of the most sustainable methods of mitigating the effects of downscaling and industry job losses. It gives affected employees the opportunity of viable long-term independence from the mining industry's uncertainties. For this reason, Harmony Target Operation must plan to make resources available for this type of training although it is possible to make arrangements to allow for training before, during or after the downscaling occurs and employment has been reduced. The mine plans to start such training before the need arises, thereby minimising the impact on affected employees and enabling them to take up alternative employment as soon as the need arises.

NEDLAC social plan agreement

In accordance with the National Economic Development and Labour Council (NEDLAC) social plan agreement, the Department of Labour will be notified of:

- The number of employees possibly affected
- Their job categories
- The timing of the proposed retrenchments
- The assistance being offered (including training)
- The prospects for re-employment
- The languages and areas of origin of affected employees
- Their skill profiles
- The resources available to assist them

Details of the agreements and disagreements or disputes with recognised and affected unions. Discussions will also be held with the department regarding any additional services that may be required, including the deployment of a retrenchment response team.

Department of Labour

It is envisaged that Harmony Target Operation will make use of the Department of Labour's retrenchment response teams. They will set up job advice centres for affected employees at the mines in question, provide affected employees with information packs and advise on the Unemployment Insurance Fund (UIF), assist work seekers in registering with the department and advise on the labour market and employment opportunities.

The mines agreed with the department regarding providing services to assist employees, including group counselling, employment counselling, training of affected employees and placement services. If necessary, additional staff will be contracted to assist the department and the mines in ensuring these services are provided. Where necessary, the above services provided for the affected employees will be for the mine's cost.

The Department of Labour is also required to notify the National Productivity Institute and the provincial and local governments of any anticipated retrenchments.

Compliance to the Mining Charter 2018 and IDP of the mining communities and labour-sending regions

Since some of the operation's employees are sourced from mining areas or labour-sending regions such as Swaziland, Mozambique, Lesotho, Eastern Cape and Botswana, the mine's will always ensure that the provided portable skills are complementary to the local economic needs of their respective areas. The budget for provision for Harmony's Social Plan Trust Fund, established in terms of the Social Plan Framework Agreement, is in a healthy state and will be able to cater for any eventually. The allocation of these funds will be in accordance with the framework agreement.



SECTION 5 OVERVIEW

The DMRE SLP Guidelines require that the applicant for a mining and production right must provide financially for the SLP. This section details the financial commitments in terms of human resource development, local economic development (community projects) and the total SLP financial commitment.

SECTION 5: FINANCIAL POSITION

In line with Regulation 46(e): Financial provision

FINANCIAL PROVISION

Harmony commits to spending the following provision for financing the SLP commitments as outlined in Table 56, Table 57 and Table 58

This SLP assumes a gold price of R763 000/kg. However, should this price not be achieved on a sustainable basis, and should our SLP roll-out be impaired by the occurrence of events beyond our reasonable control, or should any risk factor (including, without limitation, the risk factors referred to above) materialise or alter materially, the roll-out of the programmes outlined in this SLP may require re-assessment.

HARMONY GOLD

Harmony Target commits to spending the following provision for financing the SLP commitments as outlined in Table 56, Table 57 and Table 58.

Human Resource Development Commitment

Table 56: Financial provision for Human Resources Development (2023 – 2027)

		YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	TOTAL FINANCIAL COMMITMENT
DESCRIPTION		2023	2024	2025	2026	2027	
Human Resources Development	AET - Internal	R 236 610	R 248 440	R 260 862	R 273 905	R 287 600	R 1 307 417
	Core Business Training	R 459 663	R 482 646	R 506 779	R 532 118	R 558 723	R 2 539 929
	Learnerships - Internal	R1 692 600	R1 866 091	R2 057 365	R2 268 245	R2 500 741	R10 385 042
	Learnerships - External	R 436 800	R 481 572	R 530 933	R 585 353	R 645 352	R 2 680 010
	Career Progression	R 286 836	R 301 177	R 316 236	R 332 048	R 348 650	R 1 584 947
	Bursaries - External	R 200 000	R 200 000	R 200 000	R 200 000	R 200 000	R 1 000 000
	Internships - External	R 98 858	R 103 800	R 108 990	R 114 440	R 120 162	R 546 250
TOTAL		R3 411 367	R3 683 726	R3 981 165	R4 306 109	R4 661 228	R20 043 595

HARMONY GOLD

Local Economic Development Community Projects

Table 57: Financial provision for Local Economic Development Projects (2023 – 2027)

SLP LED PROJECTS		YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	TOTAL FINANCIAL COMMITMENT
		2023	2024	2025	2026	2027	
1	Commercial and Industrial Agriculture Project	R 94 000	R 125 000	R 156 000	R 426 000	R 463 000	R1 264 000
2	Waste water infrastructure development project	R 483 000	R 483 000	R 484 000	R0	R0	R1 450 000
3	Ongoing Youth Development (VSA)	R 523 000	R 557 000	R 594 000	R 632 000	R 673 000	R2 979 000
TOTAL LED PROVISION		R1 100 000	R1 165 000	R1 234 000	R1 058 000	R1 136 000	R5 693 000

Total SLP Financial Commitment

Table 58: Financial provision for SLP Financial Commitment (2023 – 2027)

SLP PROGRAMMES		YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	TOTAL FINANCIAL COMMITMENT
		2023	2024	2025	2026	2027	
1	Human Resource Development	R3 411 367	R3 683 726	R3 981 165	R4 306 109	R4 661 228	R20 043 595
2	Local Economic Development Projects	R1 100 000	R1 165 000	R1 234 000	R1 058 000	R1 136 000	R 5 693 000
3	Supplier and Enterprise Development	R 658 000	R 658 000	R 658 000	R 658 000	R 658 000	R 3 288 000
4	Housing and Living Conditions Programme	R 334 000	R 334 000	R 334 000			R 1 002 000
5	Downscaling and Retrenchment ³						R4000 per person
TOTAL SLP PROVISION		R5 503 367	R5 840 726	R6 207 165	R6 022 109	R6 455 228	

³ Harmony will make financial provision for downscaling and retrenchments when and where needed and is committed to assessing the LOM on a continuous basis.





SECTION 6 OVERVIEW

This section indicates the person responsible for the social and labour plan as well as who is responsible to make known the social and labour plan to the employees and who must be contacted for follow-ups, requests, reports, queries, enquiries, discussions, etc. at time of such needs.



SECTION 6: UNDERTAKING

In line with Regulation 46(f): Undertaking

UNDERTAKING

I, S.V. Green, the undersigned and duly authorised thereto by Harmony (Proprietary) Limited undertake to adhere to the information, requirements, commitments, and conditions as set out in Target's Social and Labour Plan.

NAME OF RESPONSIBLE PERSON	S.V. GREEN
DESIGNATION OF RESPONSIBLE PERSON	General Manager
SIGNATURE	 STEVEN GREEN GENERAL MANAGER TARGET
PLACE	NEWMARSDEN
DATE	05/12/2022.

NAME OF RESPONSIBLE PERSON	William November.
DESIGNATION OF RESPONSIBLE PERSON	Human Resources Leader
SIGNATURE	 WILLIAM NOVEMBER HR MANAGER TARGET MINE
PLACE	Target Mine
DATE	05. 12. 2022

APPENDICES

Appendix A: Proof of Submission - Workplace Skills Plan

Appendix B: Socio-economic needs and issues in the Lejweleputswa District Municipality and Matjhabeng Local Municipality

Socio-economic needs and issues in the Lejweleputswa District Municipality

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
Job opportunities and creation	• Un/Employment ○ 36,5% of the population is unemployed ○ Lejweleputswa DM has the highest unemployment rate mainly due to the closure of mines within the municipality • Youth Unemployment ○ According to the Lejweleputswa IDP, youth unemployment is 36,5% • Level of Poverty ○ Lejweleputswa District has a poverty rate of 3%. The District had 290 910 (45.9%) of its population living below the lower poverty line in 2019. This is worse than the provincial rate at 44% (Profile and analysis: District development model, 2020) • Employment Sectors ○ The economy of Lejweleputswa thrives on mining and farming ○ Mining dominates the economy at 34.5% followed by agriculture ○ Maize and sunflowers are the dominant crop farmed within the municipality • IDP key performance areas include: ○ Key Performance Area 3: Local Economic Development ○ Key Performance Area 4: Financial Management and Viability
Food security	• Agriculture (General Household Survey, 2020) ○ 20.2% of households are involved in agricultural activities. ○ 18.3% of the Free State Population use agricultural activities as a main source of food and 69.5% farm for an extra sources of food ○ The remaining percentage conduct agricultural activities for a main source of income, additional income or for leisurely activities • Food Security ○ The agriculture industry in the municipality is important for a number of reasons namely, food security, employment opportunities, the economy, and provides a good foundation for rural development

HARMONY GOLD

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
	- IDP key performance areas include: - Key Performance Area 2: Basic Service Delivery And Infrastructure Development - Key Performance Area 3: Local Economic Development - Key Performance Area 5: Institutional development and transformation
Economic and social investment	- Due to the Covid-19 pandemic, there was a decrease in the number of SMME owned companies nationwide. - In 2021, only 5% of companies within the Free State were owned by SMMEs (SMME Quarterly Update (SEDA), 2020) - The municipality is embarking on SMME's development in an attempt to address youth and women unemployment - IDP key performance areas include: - Key Performance Area 3: Local Economic Development - Key Performance Area 5: Institutional development and transformation
Lack of access to water and sanitation services	- Water - The 2016 Community Survey, indicated that 95.3% of households had access to safe drinking water 48.66% of households have piped water inside the dwelling 44.25% of households have piped water inside the yard 0.98% of households have no formal piped water IDP priorities - Sanitation 84.2% of households have access to toilet facilities either flush or chemical toilets 1.5% have no access to any toilet facilities 9% have access to pit latrines facilities 3% are still using bucket toilets - IDP key performance areas include: - Key Performance Area 2: Basic Service Delivery And Infrastructure Development.
Lack of access to energy and electricity	- Energy and electricity 85.6% of households have access to electricity 79% have in-house prepaid meter 15% have in-house conventional meter



HARMONY GOLD

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
	○ 4% had no access to electricity ● IDP key performance areas include: ○ Key Performance Area 2: Basic Service Delivery And Infrastructure Development
Education and training	● Education ○ According to the STATS SA Community Survey 2016, those aged 20 years and above, 8.7% have no formal schooling, 22% have completed matric, and 6.9% have some form of higher education. ○ According to the Department of Higher Education and Training Adult Illiteracy Fact Sheet (March 2022), Free State has an adult illiteracy rate of 10.7%. This indicated that 192 386 people are illiterate within Free State. ○ The Department of Education indicated that in the Free State in general, the number of pupils in the rural area has decreased considerably due to the migration of the farm workers to the major urban centres ○ The municipality indicated that 4.6% of the population has no schooling, 30.3% has matric and 7.4% have higher education ● IDP key performance areas include: ○ Key Performance Area 2: Basic Service Delivery And Infrastructure Development ○ Key Performance Area 5: Institutional development and transformation
Smart Digital Economy	● Nationally, 69,4% of people access the internet via mobile phones. However, rural access to the internet via mobile devices is only 59,2% ● Nationally, 69,4% of people access the internet via mobile phones. However, rural access to the internet via mobile devices is only 59,2% ● Landline telephones decreased from 25% (2001) to 21% (2011) and the use of cell phones increased from 30% (2001) to 90% (2011) ● Internet access increased by 30% over a 10-year period ● IDP key performance areas include: ○ Key Performance Area 5: Institutional development and transformation

Socio-economic needs and issues in Matjhabeng Local Municipality

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
Job opportunities and creation	• Un/Employment ◦ Unemployment decreased from 26.6% in 2001 to 15.3% in 2011 ◦ The employed population increased from 34.4% in 2001 to 36.0% in 2011 • Youth Unemployment ◦ Youth employment increased from 21.6% in 2001 to 26.4% in 2011 ◦ Youth unemployed decreased from 32.8% in 2001 to 26.1% in 2011 • Level of Poverty ◦ The municipality does not indicated the poverty rates, however, it was indicated the municipality does face high levels of poverty ◦ Community agricultural development projects are encouraged to alleviate poverty • Employment Sectors ◦ The mining sector is the biggest employer accounting for 56% of total employment ◦ The trade sector which employs 10% of the formal sector workers ◦ The agriculture sector employs the most minor share of people at 0.8% • The key performance areas include: ◦ Key performance areas 3: Inclusive economic development and job creation ◦ Key performance areas 4: Institutional Transformation ◦ Key performance areas 5: Financial sustainability and viability
Food security	• Agriculture (General Household Survey, 2021) ◦ 20.2% of households are involved in agricultural activities. ◦ 18.3% of the Free State Population use agricultural activities as a main source of food and 69.5% farm for an extra sources of food ◦ The remaining percentage conduct agricultural activities for a main source of income, additional income or for leisurely activities • Food Security

HARMONY GOLD

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
	○ According to the General Household Survey (2020), 12.9% of the Free State population has inadequate access to food while 13.3% have severely inadequate access to food • The key performance areas include: ○ Key performance areas 2: Basic Service delivery ○ Key performance areas 3: Inclusive economic development and job creation
Economic and social investment	• Due to the Covid-19 pandemic, there was a decrease in the number of SMME owned companies nationwide • In 2021, only 5% of companies within the Free State were owned by SMMEs (SMME Quarterly Update (SEDA), 2020). However, the province did have a 1.8% increase from 2020 to 2021 • The key performance areas include: ○ Key performance areas 2: Basic Service delivery ○ Key performance areas 3: Inclusive economic development and job creation
Lack of access to water and sanitation services	• Water ○ 54.6% of people have piped water inside the dwelling ○ 36.2% of people have piped water inside the yard ○ 7.1% of people have piped water from access point outside the yard ○ 2.0% of people have no access to piped water • Sanitation ○ On average 47.1% of households have pit toilets and access water from communal taps. ○ Proportion of households with bucket toilet usage is higher in Virginia with 47.0% followed by Odendaalsrus and Ventersburg with 34.1% and 9.1% respectively. • The key performance areas include: ○ Key performance areas 2: Basic Service delivery
Lack of access to energy and electricity	• Energy and electricity ○ The bulk electrical network is well established around the Matjhabeng area. Eskom serves all mines and all townships in the municipal area and thus there is sufficient bulk infrastructure available to serve the whole area.

HARMONY GOLD

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
	○ Based on the General Household Survey (2020), in 2020, electricity was the primary source of energy used for cooking, followed by other sources and then wood • The key performance areas include: ○ Key performance areas 2: Basic Service delivery
Education and training	• Education ○ According to the Department of Higher Education and Training Adult Illiteracy Fact Sheet (March 2022), Free State has an adult illiteracy rate of 10.7%. This indicated that 192 386 people are illiterate within Free State. ○ According to the 2016 census data, 3% of the population within MLM have no schooling, 33.8% have matric and 7.9% have a higher education. • The key performance areas include: ○ Key performance areas 1: Good governance ○ Key performance areas 2: Basic Service delivery ○ Key performance areas 3: Inclusive economic development and job creation
Smart Digital Economy	• Nationally, 69,4% of people access the internet via mobile phones. However, rural access to the internet via mobile devices is only 59,2%. • Access to internet through a cell phone was 22.7%, however, according to the 2011 census 77.3% do not have access to internet through cell phones • The key performance areas include: ○ Key performance areas 3: Inclusive economic development and job creation ○ Key performance areas 4: Institutional Transformation ○ Key performance areas 5: Financial sustainability and viability

Appendix C: Procurement BEE spend (From T)